agileintelligence

AGILE INTELLIGENCE RESEARCH REPORT · SITE V1.16 · ASSESSMENT V2.9 · PROJECT FACTS VERIFIED TO 4 AUGUST 2026

pax silica and the philippines

An independent review of the Economic Security Zone proposed at New Clark City in Tarlac, on 1,618.74 hectares. What has actually been signed, what is only being claimed, what the land and the grid can really support, and what the Philippines gains or loses either way.

read the six findings →

explore the exhibits

US$0
INVESTMENT LEGALLY COMMITTED AT THE CUTOFF

15 / 16
IMPLEMENTATION GATES STILL OPEN

−34.8
NET PUBLIC SENTIMENT IN JULY, FROM -1.0 PRE-ACCESSION

+2.5pp
NET NEW TARIFF ON PHILIPPINE GOODS FROM THE COUNTERPARTY, 24 JUL 2026

COUNTDOWN TO THE FRAMEWORK SIGNATURE WINDOW

88 DAYS · ASEAN SUMMIT, NOVEMBER 2026

This report sets seven conditions that should be met before anyone signs. **none is met** as at the latest verification.

LATEST REPORTING

in the news

updated 4 August 2026 · 9 items · verified before listing

MANILA TIMES · 4 AUGUST 2026

Palace: Imee Marcos can proceed with Pax Silica inquiry

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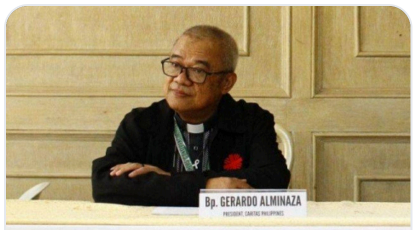

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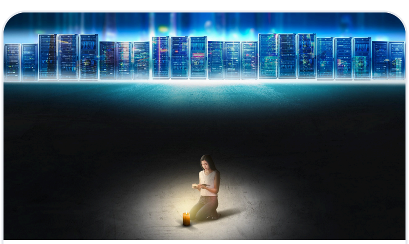

RAPPLER · 2 AUGUST 2026

The Wide Shot: Why Pax Silica concerns people of faith

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US STATE DEPARTMENT

US STATE DEPARTMENT · 31 JULY 2026

US welcomes Italy into Pax Silica as the 25th signatory

read at state.gov →

MANILA BULLETIN · 28 JULY 2026

DOE eyes nuclear to power Pax Silica AI hub in New Clark City

read at mb.com.ph →

CRUX · 28 JULY 2026

Filipino churches hit Marcos over US-planned AI hub in the Philippines

read at cruxnow.com →

RAPPLER · 27 JULY 2026

Energy Secretary Garin: Pax Silica at full load is 'too dangerous' to plug into the Luzon grid

read at rappler.com →

MANILA BULLETIN · 20 JULY 2026

Defense chief dismisses water scarcity fears for Pax Silica project

read at mb.com.ph →

sources · linked publishers; each item opens the original article. Headlines are the publishers' own claims, not this report's findings.

01

six findings

the instrument does not describe the project

01

The only published Philippine legal instrument proposes a bilateral coordination office and states that the property "shall be used exclusively" for five coordination functions. It contains no reference to semiconductor packaging, data centres, mineral processing, or private locators. The public prospectus has no published legal basis.

0

the headline figures do not reconcile

02

Pairing US$40–70bn with 130,000–190,000 direct jobs is unreconciled and jointly implausible: constructible on paper, but only with more back-end employment in this one site than the whole national industry supports today. The claimed PHP 68–75bn of annual withholding tax, which BCDA has confirmed is payroll withholding, implies average pay of PHP 2.13m, 2.4 times what a Philippine semiconductor engineer earns. The named anchor is expected to generate "thousands."

2.37×

REFERENCES TO INDUSTRY IN THE OPERATIVE INSTRUMENT

CLAIMED EXPORTS VS. THE ENTIRE 2025 MERCHANDISE EXPORT BOOK

water and power are unsolved, not solved

03

Harvesting 90 MLD from rainfall needs a catchment of 1,460–3,129 hectares, or 90% to 193% of the site. 3 GW is 19.2% of the DOE's 15,600 MW projection for 2026 Luzon peak demand and 20.6% of the 14,534 MW actually recorded by mid-2026, on a grid that ran a 373 MW deficit under red alert in May 2026. The DFC is funding an LNG feasibility study, not a solar one.

15,000 ha

LAND A SOLAR-POWERED 3 GW WOULD NEED. THE SITE IS 1,619.

the counterparty relationship is asymmetric

04

On 24 July 2026 a US 12.5% forced-labour tariff on Philippine goods took effect. Narrower than the headline: semiconductors and other Section 232 articles are exempt, and it replaced an expiring 10% measure, so the net increment is about +2.5 points. The direction is what matters. The Philippines is being asked to grant land, water, power and rent forgone in exchange for a non-binding declaration and feasibility studies.

+2.5pp

NET TARIFF INCREMENT, FOUR MONTHS BEFORE THE PHILIPPINES IS ASKED TO SIGN

the public has already turned, and on the unanswered questions

05

Across 6,437 mentions from December to SONA eve, net sentiment fell from −1.0 before accession to −24.8 after, and to −34.8 in July alone. The economics are argued both ways. Water, land and governance are not debated at all; they run at net −44, −50 and −54. The

the strategic case is genuine, and some criticism is wrong

06

Comparative non-entanglement with Chinese capital is a real and time-limited asset. BPO at 7.4% of GDP faces AI displacement. And some of the most widely circulated environmental critiques do not survive scrutiny: silicon rather than nickel is the semiconductor input, and the best sentiment month on record was May, when the government publicly refused a US request.

−34.8

NET SENTIMENT IN JULY, THE MONTH OF MOST CLAIMS AND FEWEST DOCUMENTS

light-pollution claim, while a legitimate and mitigable screening item, is substantially overstated as popularly framed.

7.4%

OF GDP: THE BPO EXPOSURE THAT MAKES AN ALTERNATIVE ENGINE URGENT

02

node, or not

What matters is whether the terms on the table in November beat the alternative. Both columns below are real; neither is costless.

PATH ONE

as a pax silica node

WHAT THE PHILIPPINES GAINS

- A named position inside an allied supply chain while comparative non-entanglement with Chinese capital is still a credible, time-limited asset.
- A credible upgrade path from back-end assembly into advanced packaging, where industry value is migrating as transistor scaling slows.
- An alternative growth engine as BPO, at 7.4% of GDP, faces AI-driven displacement.
- PHP 60bn of lease income over 25 years, plus the option value of first-mover designation in a network intended to span continents.
- Access to allied capital, the Stanford Foundry School curriculum, and Luzon Economic Corridor infrastructure momentum.

WHAT IT CARRIES OR FORGOES

- 1,618.74 hectares committed, possibly for 99 years, at a rent that is currently "to be discussed."

- 3 GW on a grid that ran a 373 MW deficit under red alert three months before this report.
- 65–90 MLD of what is, at that scale, watershed water, in a Type I climate with a pronounced dry season.
- An unquantified tax expenditure under CREATE MORE, including a 100% additional deduction on power for a multi-gigawatt load.
- A named role in a strategy whose own fact sheet states the objective of displacing rival supply chains, borne physically by the Philippines.

PATH TWO

outside pax silica

WHAT THE PHILIPPINES GAINS

- No 99-year commitment, no grid increment, no watershed claim, no geopolitical targeting exposure.
- The same capital, political attention and institutional bandwidth could close the ~50% industrial electricity cost gap with Indonesia and Vietnam, which benefits every existing locator, not one zone.
- Freedom to lead with minerals leverage rather than land concessions, on the Indonesian model.
- Supplier development and workforce programmes for an electronics base that already earns US$46bn a year.

WHAT IT CARRIES OR FORGOES

- Forgone lease income of PHP 60bn over 25 years, with a present value of about PHP 25.6bn.
- Forgone option value on a strategic position, and reputational cost with Washington.
- The allied-advantage window is time-limited and closes without being used.
- The manufacturing gap keeps widening while Malaysia moves into semiconductors, Thailand into automotive and Indonesia into nickel processing.

THE ASSESSMENT'S OWN POSITION

Neither endorsement nor rejection. The Philippines should decline to sign in November unless seven disclosures and binding conditions are satisfied first. Its negotiating position will never again be as strong as it is between now and then: it holds the asset, it has not yet signed, and the counterparty wants a deliverable for a presidential visit tied to the 80th anniversary of bilateral relations. A deadline set by another country's summit calendar is the worst possible reason to accept undetermined terms.

03

the exhibits

Fourteen working models. Every input is a published figure; every formula is shown. Move the controls and the arithmetic moves with them.

EXHIBIT 01 · WATER

the catchment does not fit on the site

$$A = V \div (R \times C)$$

$$V = \text{demand} \times 365 \times 1{,}000 \text{ m}^3$$

daily demand 90 MLD

BCDA states 65–90 MLD demand and 120 MLD design capacity, expandable "to as much as 300 million liters per day through advanced technology".

annual rainfall 1,900 mm

Site-specific rainfall data are unpublished. The range covers normal rainfall for this part of Central Luzon.

runoff coefficient 0.55

CATCHMENT REQUIRED

3,144 ha

AS A SHARE OF THE SITE

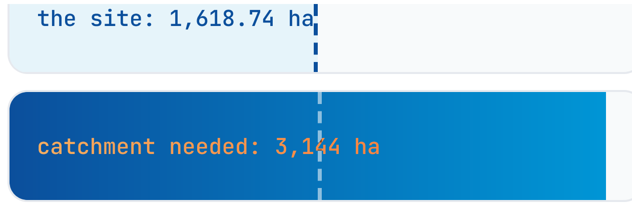
194%

DRY-SEASON STORAGE, 180 DAYS

16.2 million m^3

BOTH BARS ON ONE SCALE · 0 TO 3,332 HA

0.90 happens only if nearly the whole site is paved over, which contradicts the promise to keep 40% of it open space.



At these parameters the catchment required is larger than the entire parcel. The water must come from beyond the site boundary, which makes it watershed water, and therefore water that Tarlac's households and irrigators are already using.

The maths proves something narrow, but decisive. BCDA's plan to catch the water on the site itself fails at the top of BCDA's own demand estimate. At 65 million litres a day, with good rainfall, catching it on site is arguable. At 90 million, it is not. What taking that water would do to people downstream is a separate question, and the maths cannot answer it. Holding water back could capture rainy-season flow that currently runs to the sea unused. It could equally cut the supply people depend on in the dry months. Telling those two apart needs a study of the whole river system, including how much water it has to keep flowing to stay healthy. No such study exists. Until one does, the burden of proof sits with BCDA. BCDA has since described an expansion path to 300 MLD, at which every figure here scales by 3.3 times, to a required catchment of roughly 4,900–10,400 hectares. The storage figures are rough upper limits for a first check, not an engineering design.

EXHIBIT 02 · POWER

3 gigawatts has to come from somewhere

share of energy served by solar 20%

all gas — all solar

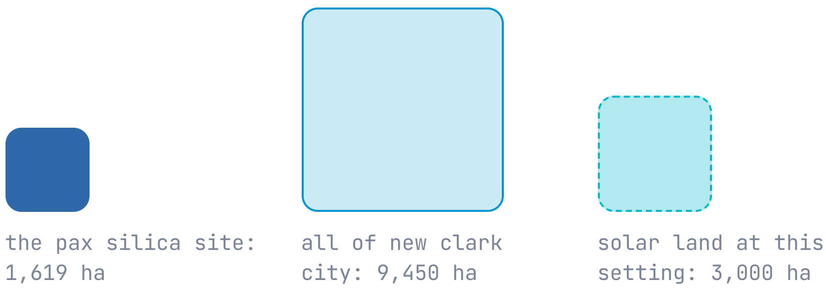
3,000 MW
SOLAR NAMEPLATE REQUIRED

3,000 ha
LAND AT THE ACWA BENCHMARK OF 1 HA/MW

2,400 MW
FIRM GAS CAPACITY STILL REQUIRED

7.0 Mt
CO_2 PER YEAR FROM THAT GAS

SOLAR LAND REQUIREMENT, TO SCALE



This is closest to what the record actually supports. The DFC-funded ≥1,200 MW LNG study is the only firm-generation option currently under study, which is not the same as a committed plan; no energy plan of any kind has been published.

THE REGULATOR'S OWN VERDICT · 27 JULY 2026

“If you put it on the grid, and then suddenly this 3 gigawatt demand will be lost, the grid will just shut down… It’s too dangerous for our usual consumers.”

ENERGY SECRETARY SHARON GARIN, INTERVIEW WITH RAPPLER, 27 JULY 2026

100–200 MW
THE CEILING THE GRID CAN ABSORB

3–7%
OF THE PROJECT’S EVENTUAL DEMAND

1,300 MW
GAP BETWEEN COMMITTED AND REQUIRED

3–5 yrs
TO BUILD CONVENTIONAL GENERATION; ABOUT 10 FOR NUCLEAR

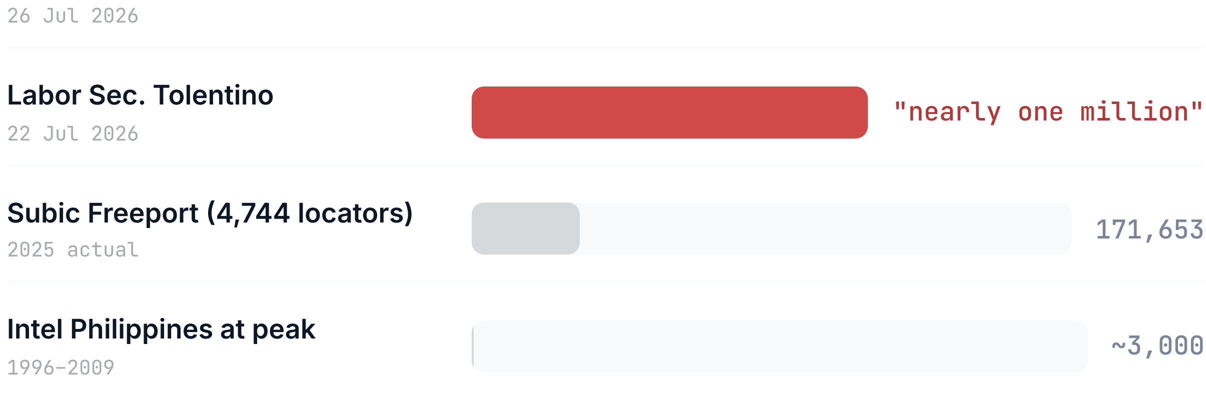
Her preferred configuration is a stand-alone system with its own generation, renewable or gas. The interview puts the load at about 19% of Luzon's projected 2026 peak, matching this report's figure by an independent route, and notes it is close to the entire Visayas grid. The 1,300 MW gap is what is left after counting 500 MW of ACWA solar and the proposed 1,200 MW of LNG against the 3,000 MW required. And that is before allowing for the obvious: a 500 MW solar plant does not produce 500 MW at night. The LNG carries a logistics problem of its own: it arrives by ship, but Clark has an airport, not a seaport, so the fuel must land at a coastal terminal and travel inland by a pipeline that does not exist. That is what the unsolicited Subic–Clark fuel-line proposal is for. Set against BCDA's Q1 2028 site-development target, none of these timelines fit. What changes here is not the direction of the finding but its standing: the department that would have to approve grid connection has said publicly that it will not approve it at scale.

Benchmark: BCDA's own signed ACWA Power lease, 500 hectares for up to 500 MW of solar plus storage, i.e. 1 ha per MW of nameplate. Solar at 20% capacity factor. The Department of Energy projects Luzon's 2026 peak demand at 15,600 MW. The highest peak actually recorded by mid-2026 was 14,534 MW. So a 3 GW load is 19.2% of the projection, and 20.6% of the real maximum. On 15 May 2026 the grid ran a 373 MW deficit under red alert with 4,106 MW on forced outage across 30 plants. The US DFC has funded a feasibility study for a ≥1,200 MW LNG terminal and plant at the site.

EXHIBIT 03 · EMPLOYMENT

five figures in fifteen days, no new study

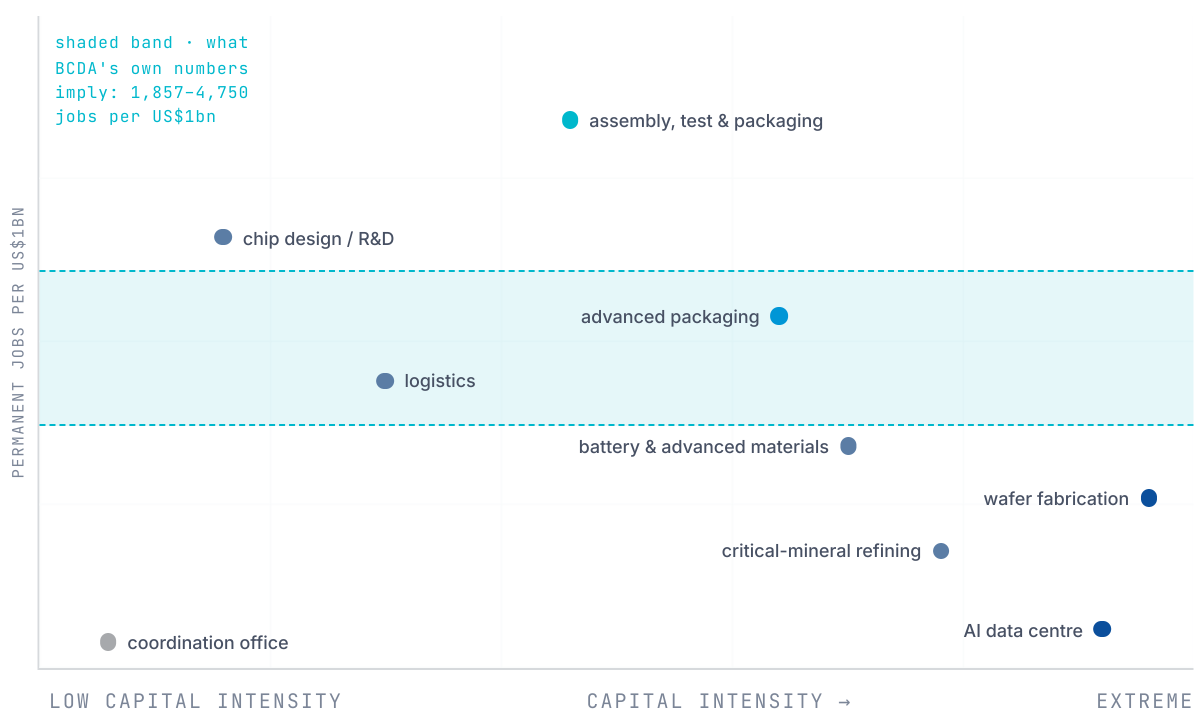
Finance Sec. Go (the anchor) 11 Jul 2026	"thousands"
DTI-BOI talent pipeline by 2028 national target	128,000
BCDA 22 Jul 2026	130,000
BCDA (upper bound) 23 Jul 2026	190,000
Amb. Romualdez	300,000



The only bottom-up figure on the record is the Finance Secretary's own "thousands of jobs" from the named anchor. Against it, DTI-BOI's national target is to *produce* 128,000 engineers and technicians for the whole Philippine semiconductor and electronics industry by 2028, a talent-pipeline target rather than an employment ceiling. BCDA's low-end figure for this single site would consume all of it.

EXHIBIT 04 · THE CENTRAL CONTRADICTION

capital-intensive, or job-intensive. not both.



Pairing US$40–70bn with 130,000–190,000 direct jobs implies 134–196 jobs per developable hectare, a labour-intensive light-manufacturing density. That is assembly, test and packaging, not hyperscale compute and not wafer fabrication. The named anchor's described activity, "computer parts and electronic components manufacturing," sits exactly there.

EXHIBIT 05 · THE PARCEL

1,618.74 ha inside new clark city

Parcel	1,618.74 ha
Share of New Clark City	17.1%
Municipalities	Capas & Bamban, Tarlac
Rent, years 1–2	PHP 0
Rent from year 3	"To be discussed"
Lease term	Not stated
Annex A map	Referenced, absent

Schematic only. The parcel's metes and bounds have never been published, Annex A of the BCDA letter is referenced in the document and absent from it. Every substantive question about this project

EXHIBIT 06 · IMPLEMENTATION

fifteen of sixteen gates are open

✓	Political declaration signed	16 Apr 2026
✓	Land offered	unilateral offer, 9 Apr 2026
	Framework agreement	draft exchanged; target Nov 2026
	Supplemental Agreement (boundaries and terms)	does not exist
	Parcel legally defined; Annex A published	referenced, absent; FOI request refused 10 Jun 2026
	Master plan for the parcel published	none
	Project-specific EIS / ECC	DENR: "will be required"
	Cumulative impact assessment	none
	Water balance study published	none
	Water permit / abstraction volume set	NWRB opined without publishing
	Grid interconnection study or agreement	none

is downstream of a map that does not exist publicly.

☐	Lease rate from Year 3 set	"To be discussed"
☐	Lease term set	no term stated
☐	Binding investor commitment	Foxconn a prospect; ~30 letters
☐	Financing committed	DFC funded a feasibility study only
☐	Procurement / construction	target Q1 2028

EXHIBIT 07 · SCENARIOS

five futures, ranked by likelihood

35%

PLAUSIBLY 25–45%

proceeds, but narrower, slower and less capital-intensive

The most likely single outcome. A framework is signed, but what gets built is a conventional advanced-electronics and logistics park with an assembly-test-and-packaging core, a modest data-centre component, and a coordination office. Perhaps US$5–15bn over a decade; 15,000–40,000 direct jobs. Economically this is genuinely positive, a good outcome for the Philippines. Politically it is damaging, because the gap will be measured against 190,000 jobs and US$70bn. This is a good outcome that will be reported as a failure, which is the strongest argument for setting honest expectations now.

TRIGGERS

- Investors decline the power and water risk
- The AI capex cycle cools
- The Philippines fails to resolve electricity costs
- Foxconn proceeds at ordinary scale, its own described activity points here

EARLY WARNING

- Locator agreements at ordinary industrial scale
- Data-centre component scoped down in the master plan
- Officials quietly ceasing to repeat the headline figures

EXHIBIT 08 · PRECONDITIONS

is signing warranted yet?

0 OF 7 MET

do not sign

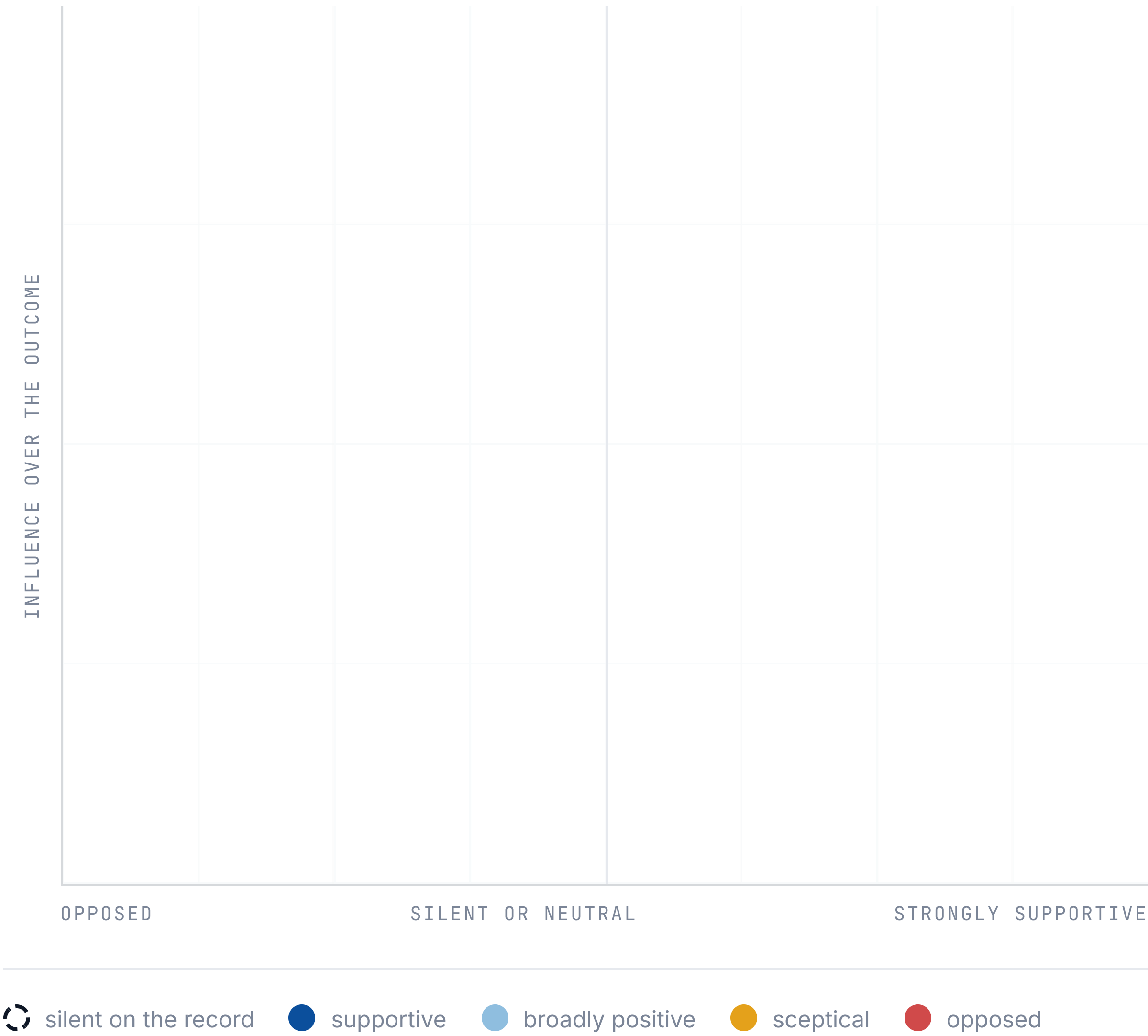
If any one of the seven is unmet, the Philippines should not sign anything binding. A strictly non-binding framework remains available, but only if its text expressly creates no lease, no land right, no entitlement and no funding commitment. None of the seven takes more than a few months, and all are within the executive's control. The only cost of insisting on them is a delayed photograph.

status at 29 july 2026, latest verification: 0 of 7

EXHIBIT 09 · STAKEHOLDERS

who is loud, who is silent

Thirty actors placed by influence against the position they have taken publicly. Circle size is influence. The dashed circles are the finding: four actors central to whether this project can proceed have taken no institutional position on the record. One of them moved on 4 August: a first Senate resolution seeking an inquiry was filed, though the chamber itself has not acted.



Click any circle for its position, what it stands to gain, and what it bears.

Four circles sit on the centre line, and they should not be there. NGCP and the ERC own the 3 GW question; the NCIP holds the FPIC process that carries the clearest legal-veto risk; the Senate holds concurrence. Those three sit high on influence and have taken no public position. The fourth, the Tarlac provincial government with the municipalities of Capas and Bamban, sits lower on formal influence but is the host community that would live with the result. Each of these actors is the party that would be blamed if the risk it owns materialises, so silence buys them nothing. The largest single gap in the evidence base for this report is the near-total absence of the local government units from the record.

EXHIBIT 10 · LEASE STRUCTURE

three layers, one of them published

The lease has three distinct layers and they have been persistently conflated. Only the first is documented. Which structure the second layer takes is, on this report's assessment, the single most consequential undisclosed structural fact in the entire file.

LAYER 1	**government to government**	Republic of the Philippines, via BCDA, to the United States BCDA letter and the Supplemental Agreement	PUBLISHED
LAYER 2	**investor lease**	BCDA, or a master lessee, to foreign investors RA 7652 as amended by RA 12252	NOT EXECUTED
LAYER 3	**locator operations**	PEZA or BCDA to registered business enterprises RA 7916 ecozone registration plus CREATE MORE incentives	NOT EXECUTED

LAYER 2, THE QUESTION NOBODY HAS BEEN ASKED

the united states as master lessee

BCDA leases the whole 1,618.74 hectares to the United States, which then sublets to Foxconn and other locators. A single foreign-government-held property interest over a contiguous block of Philippine

- One counterparty holds the entire parcel
- The lease may be collateralised for long-term financing
- Locator selection sits with the lessee, not with a Philippine agency
- Reversion is to the Republic, but only at the end of the term

territory, financeable, transferable and sublettable for up to 99 years.

The difference is not technical. The master lease runs 99 years over 1,618.74 hectares, held by a foreign government. It can be sublet to others, and pledged as security for loans. That gives a foreign state a property interest over one unbroken block of Philippine territory, tradeable and borrowable against, for a century. Thirty direct locator leases granted by a Philippine agency under Philippine law is ordinary ecozone administration. The published documents address only layer 1, and no Philippine official has been asked publicly which of the two is intended.

EXHIBIT 11 · THE SYSTEM THIS BELONGS TO

the chokepoint map

Pax Silica is not a Philippine project with foreign investors. It is the demand-anchoring layer of a deliberate American reorganisation of technology supply chains, and its logic is complementarity, not symmetry: each member holds something the AI ecosystem cannot function without. The question for the Philippines is which of these it is bringing, and what it gets for it.

EUV lithography	Netherlands · ASML	a true monopoly; ~90% of DUV overall	100%
CPU architecture	United Kingdom · Arm	of smartphones, though ~87% SoftBank-owned and Nasdaq-listed	>99%
Primary low-purity gallium	China	USGS Mineral Commodity Summaries 2025	98–99%
Rare-earth magnets	China	IEA, 2024 output	~94%
Rare-earth refining	China	of refined output, 2024	~91%

High-bandwidth memory	South Korea · SK Hynix, Samsung	was ~95% in 2024; Micron's ramp broke the duopoly	~80%
Germanium	China	USGS declines to publish a precise share	~60%
Assembly, test & packaging	Southeast Asia	the Philippine seat: electronics are 54% of national exports	54%
Leading-edge fabrication	Taiwan · TSMC	at the frontier, which is why Taiwan endorses without signing, through a joint statement of 27 January 2026 signed by AIT and TECRO rather than by Taiwan as a state	dominant
GPUs, EDA, frontier models, capital	United States	design costs run US$42.8m at 28nm to ~US$725m at 2nm	the kernel

STAGE 1 · PROJECT VAULT 2 feb 2026

upstream: stabilising the floor

EXIM board approves a direct loan of up to US$10bn, the largest in the agency's 92-year history, plus ~US$2bn of private capital from GE Vernova, Boeing, GM, Western Digital and Clarios, to create the U.S. Strategic Critical Minerals Reserve across all 60 USGS critical minerals. CSIS calls it "a Costco for critical minerals."

STAGE 2 · FORGE 4 feb 2026

midstream: organising the allied market

The Forum on Resource Geostrategic Engagement supersedes the 2022 Minerals Security Partnership, with Korea as first chair. Its distinguishing feature is a preferential trade-and-investment bloc with coordinated price floors, enforced through adjustable tariffs. This is managed trade, stated openly.

STAGE 3 · PAX SILICA 12 dec 2025

downstream: anchoring demand

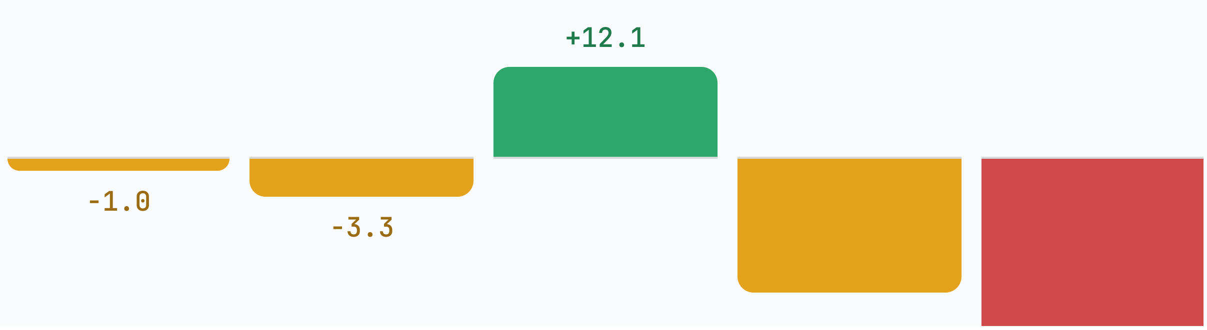
The declaration network assessed throughout this report, linking secured minerals to AI and semiconductor production inside a protected allied market, "capable of competing with, and ultimately displacing, the concentrated supply chains on which the world currently depends."

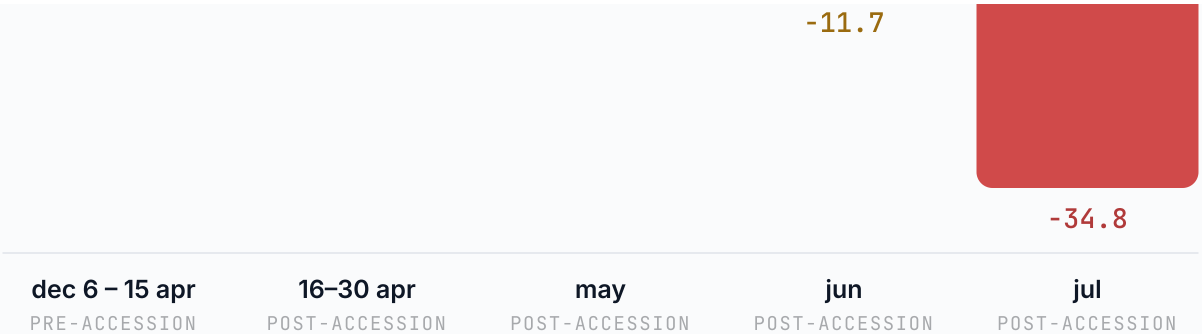
The Philippine connection runs through all three stages, and has been under-appreciated. The 4 February 2026 Ministerial that launched FORGE is the same event at which DENR Secretary Lotilla signed the US–Philippines Critical Minerals MOU. The first listed function of the proposed Coordination Office at New Clark City is "coordination of critical mineral supply chain security initiatives." The Philippines is not merely hosting Stage 3's first Zone, it is simultaneously being enrolled in Stage 1's supply base and Stage 2's price-managed trading bloc. Whether its minerals enter that system as raw ore or as processed value-added product is what the framework will silently determine, and nothing published so far secures the second outcome. Membership is not the prize. Position within the membership is the prize.

EXHIBIT 12 · THE PUBLIC CONVERSATION

6,437 mentions, december to sona eve

A social listening export covering 6 December 2025 to 27 July 2026: a stated 10% sample of global public mentions, excluding reshares, which puts the universe on the order of 64,000 original posts. Section 17 mapped who the stakeholders are; this measures what they are actually saying.





May's positive spike is the instructive one. It coincides with the government's most defensive month, the public rejection of the US jurisdiction-and-immunity request on 18 May. The Philippine public rewarded the government for saying no. The slide that follows tracks the disclosure vacuum: as official claims escalated through June and July without documents, sentiment worsened in step. July produced 2,927 mentions, 45% of the entire eight-month record, and the final eight days alone carry 36.4% of everything ever said.

WHERE THE CONVERSATION HAPPENS

Facebook	31%
X	23%
Reddit	23%
online news	18%
other	5%

After 16 April the conversation moved from newsrooms to Filipino social media. 4,151 mentions, of which 46.3% are Philippine-related, a third of it in Filipino. Reddit went from 39 mentions to 943, a 24-fold increase.

THE FIVE BIGGEST DAYS: ALL IN THE LAST EIGHT

24 jul	the BCDA figures blitz, the 99-year-lease disclosure and the US 12.5% tariff land on one news day	621 · -43
26 jul	SONA eve	402 · -25
23 jul	the US$40–70bn and 190,000-jobs claims	343 · -37
25 jul	peso closes at a record low	335 · -30
22 jul	Secretary Rubio’s Manila visit, amid protests	229 · -50

The opposition has minted its own hashtag. **#NoToPaxSilica appears 50 times against #PaxSilica's 105**, for every two branded mentions, one carries the counter-brand.

WHAT THE CONVERSATION IS ABOUT: VOLUME AGAINST NET SENTIMENT

The structure is the finding: the big topics are contested but balanced. The small ones are one-sided grievances.

AI & technology	2,688 · 41.8%	-1.5
Geopolitics & security	1,294 · 20.1%	0.0
Jobs & economy	1,111 · 17.3%	+2.6
Minerals & mining	793 · 12.3%	+2.3
Water & environment	568 · 8.8%	-43.8
Sovereignty & legality	201 · 3.1%	-27.9
Land & indigenous	165 · 2.6%	-50.3
Governance & corruption	79 · 1.2%	-54.4

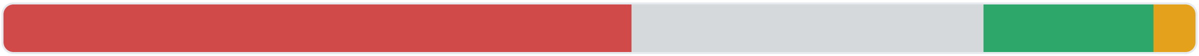
Software struggles with irony in Filipino and Taglish. In this data it labelled a plainly critical Taglish post as positive. So treat the levels as rough, and read the month-to-month movement instead, as long as the method behind it stays the same. 33.3% of mentions match no topic category and are excluded from topic shares. No TikTok in this export; Facebook is limited to public content. One further note: the single most prolific named author in the dataset is Grok, X's AI assistant, at 50 mentions. AI intermediaries are now answering the Filipino public's questions about Pax Silica in-feed, a channel no government communication plan currently addresses.

CURRENT LISTENING · 1–3 AUGUST 2026

the conversation right now

SENTIMENT TOWARD THE PROJECT

52.6%	29.5%	14.3%	3.6%
NEGATIVE	NEUTRAL	POSITIVE	MIXED OR UNCLEAR



These labels are applied by software, not by people. Three days is a starting point, not a trend. The percentages cover the posts the software judged to be about this project.

WHERE THE CONVERSATION HAPPENS

Facebook	**69.1%**
X	**11.5%**
Reddit	**10.1%**
News	**4.5%**
YouTube	**3.5%**
everything else	1.3%

WHAT IT IS ABOUT (a post can count in more than one)

Governance	**42.5%**
Environment	**21.9%**
Indigenous rights	**15.8%**
Investment	**15.2%**
Sovereignty	**10.5%**
no category matched	37.8%

WHO IS SPEAKING

Private individuals	**83.5%**
Media	**6.6%**
Government	**6.3%**
Civil society	**2.1%**
Faith-based	**1.0%**
Business	**0.5%**

Government accounts for 6.3% of the conversation and business for 0.5%. The central open question is what the Philippine state has actually committed to. Yet almost all the public discussion is coming from private individuals, not from the institutions that would have to sign.

source · social listening export, query "pax silica" OR hashtags:paxsilica, English and Tagalog, worldwide, reposts excluded · window 1–3 August 2026
method · every post in the window was labelled by software and none of it was reviewed by a person · a post can fall under more than one topic, so those figures add to more than 100% · three days is not a trend

04 ## claim checker

Exhibit 13. Every public claim located in the record, with its claimant, its status, and the evidence that contradicts it. Filter by status or by who said it.

VERIFIED

SCOPE

Project area is 4,000 acres (1,618.74 ha)

US State Dept · BCDA

Verified as a stated figure. 4,000 ac × 0.404686 = 1,618.74 ha.

PARTIAL

SCOPE

Area equals 1,600 / 1,618 / 1,619 / 1,620 ha

Various

All are roundings of one US-stated acreage, not an independent Philippine survey.

FALSE

SCOPE

The parcel boundaries are defined

no claimant, assessed finding

The BCDA letter says boundaries "shall be determined by mutual agreement... set forth in a Supplemental Agreement". Annex A maps are referenced and absent from the published PDF.

FALSE

SCOPE

The site is at the former Clark Air Base, Pampanga

Local and international outlets

New Clark City is in Capas and Bamban, Tarlac. A recurring media error.

UNKNOWN

SCOPE

"First AI-native industrial acceleration hub"

US State Dept · Helberg

An official designation with undefined content. Neither government has published a technical definition of "AI-native".

VERIFIED

SCOPE

The site is 17.1% of New Clark City

Derived

1,618.74 ÷ 9,450 ha. Verified arithmetic.

PROJECTION

MONEY

US$40–70bn of investment at full development

BCDA (Bingcang)

"Based on scientific studies, not speculation." The studies are unpublished and no investor is bound.

PROJECTION

MONEY

Initial investment requirement of US$10bn

BCDA

Funding source unstated, public, private, or which party.

VERIFIED

MONEY

Around 30 firms have expressed interest

BCDA

Verified as a statement of interest, not of commitment. None is named; BCDA says "we cannot entertain them yet fully".

UNVERIFIED

MONEY

50+ firms including "trillion-dollar tech giants"

Reported

Inconsistent with BCDA's own figure of around 30.

PROJECTION

MONEY

Foxconn will anchor the hub

Finance Sec. Frederick Go

A named prospect, not a commitment. Go: "if Foxconn proceeds"; nothing is signed.

PROJECTION

JOBS

Foxconn would invest billions and generate "thousands of jobs"

Finance Sec. Go

Internally revealing: "thousands" is one and a half to two orders of magnitude below the 130,000–190,000 aggregate claim.

VERIFIED

SCOPE

The project is still at the planning stage and it is premature to release official information

BCDA

BCDA's own words, refusing a Freedom of Information request for the project pipeline on 12 May 2026 under the pre-decisional and premature-disclosure exceptions. A second denial on 10 June 2026 withheld the site map. Tier-1 confirmation, by the proponent, that the project is pre-decisional and that the Annex A vacuum is deliberate.

FALSE

MONEY

A binding investment commitment exists

no claimant, assessed finding

None found as at the latest verification. BCDA states the framework must be finalised first.

UNVERIFIED

MONEY

AWS is discussing a US$5bn regional investment

Reported

Not corroborated; regional, not site-specific.

PROJECTION

JOBS

Over 130,000 high-quality jobs

BCDA

Official projection, 22 Jul 2026.

PROJECTION

JOBS

130,000–190,000 direct and 500,000–800,000 indirect jobs

BCDA (Bingcang)

The indirect figure implies multipliers of 3.8×–4.2×, at the high end of published ranges for enclave manufacturing. The multiplier and its source are undisclosed.

PROJECTION

JOBS

"Nearly one million jobs"

Labor Sec. Francis Tolentino

Basis given as a comparison to "Taiwan's industrial growth model". No labour standards, wage scales or training commitments stated.

PROJECTION

JOBS

Up to 300,000 jobs "as early as 2027"

Amb. Jose Manuel Romualdez

Timeframe irreconcilable with BCDA's own Q1 2028 construction start.

UNVERIFIED

JOBS

"Endless jobs"

US Amb. Lee Lipton

Stakeholder claim.

PROJECTION

FISCAL

PHP 180bn/yr in total government income at full operation

BCDA

Composition unpublished.

MISLEADING

FISCAL

PHP 68–75bn/yr in withholding tax

BCDA

BCDA specified the composition at the Palace briefing of 23 July 2026: tax contributed by the workers, i.e. payroll withholding. That forecloses the non-payroll explanation. It implies average worker compensation of about PHP 2.13m, 2.4× a Philippine semiconductor engineer (PHP 870,938) and 8.1× an operator (PHP 263,118). One of the two headline figures, the tax or the employment, is therefore materially overstated.

PROJECTION

FISCAL

PHP 60bn in lease income over 25 years

BCDA

Equals PHP 148.26/m²/yr. Present value at 8% real is about PHP 25.6bn, or 0.59%–1.03% of the projected investment. No independent land valuation has been published.

MISLEADING

FISCAL

US$200bn of exports at full build-out

BCDA

2.37× the Philippines' entire 2025 merchandise exports of US$84.48bn, 4.36× total electronics exports and 5.78× total semiconductor exports of US$34.62bn.

PROJECTION

FISCAL

"About 10% of GDP"

BCDA

The domestic value-added assumption reconciling this with US$200bn of gross exports is unpublished, and it is the single most important number in any value-chain argument. Philippine electronics has historically captured a modest slice of gross flows because it imports most inputs and performs a narrow part of the process. JC Punongbayan of the UP School of Economics warns of exactly that outcome: the Philippines supplying "the land, minerals, power, water, and low-cost labor" while technology, patents, profits and strategic control remain abroad.

UNKNOWN

FISCAL

The cost of the fiscal incentive package

no claimant, assessed finding

No published estimate. CREATE MORE provides 5% SCIT or 20% CIT with enhanced deductions including a 100% additional deduction on power expenses, for up to 17–27 years. A material omission.

PROJECTION

WATER & POWER

Water demand 65–90 MLD; design capacity 120 MLD, expandable to as much as 300 MLD

BCDA

Technically unsubstantiated. No water balance has been published. The 300 MLD expansion path, described at the 23 July Palace briefing, scales the required catchment to roughly 4,900–10,400 hectares, which is three to six times the entire parcel.

MISLEADING

WATER & POWER

Water comes from rainwater harvesting, not community supply

BCDA

The required catchment is 90–193% of the site, so at 90 MLD this is watershed water rather than site water. Stated precisely: the on-parcel framing fails at the upper end of BCDA's own demand estimate; what the appropriation does to downstream users is undetermined pending a catchment-level water balance, and the burden of proof sits with the proponent.

UNVERIFIED

WATER & POWER

Water within the project area is sufficient

NWRB Exec. Dir. Sevilla D. David Jr.

No technical data, model or independent verification published.

PROJECTION

WATER & POWER

Energy demand of about 3 GW at full development

BCDA

Independent technical commentary cites 5+ GW. Against the DOE's official projection of 15,600 MW for 2026 Luzon peak demand, 3 GW is 19.2%; against the 14,534 MW actually recorded by mid-2026, it is 20.6%.

MISLEADING

WATER & POWER

Power will be renewable; the project aims to avoid fossil fuels

BCDA

The US DFC is funding a feasibility study for a ≥1,200 MW LNG terminal and plant at the site. Solar equivalent to 3 GW would need about 15,000 ha, which is 9.3× the parcel.

MISLEADING

WATER & POWER

The project "will not cut into current power supplies in the area"

BCDA

True if and only if 3 GW of net-new firm capacity is commissioned before the load energises. Presented as unconditional.

PARTIAL

WATER & POWER

40% of the site is reserved as open or green space

BCDA · NCC master plan

Applies to the NCC master plan generally; not shown to bind the Pax Silica parcel, and incompatible with maximal rainwater capture.

PARTIAL

ENVIRONMENT

All investments require an Environmental Compliance Certificate

BCDA · DENR

Overstated as put, correct in effect. ECCs attach to Category A and B projects, not to all investments (DAO 2003-30 §§4.1, 4.4, 4.6; a Certificate of Non-Coverage covers Category D). But the estate far exceeds the 25-hectare Category B threshold for industrial parks under EMB MC 2014-005 §3.6.6, so it unambiguously requires an ECC with a full EIS. None is on the public record, and no cumulative impact assessment exists.

VERIFIED

ENVIRONMENT

There will be no mining inside the project area

BCDA

Verified as to extraction on site; incomplete as to consequences. The US fact sheet cites "enhanced access to the Philippines'... mineral endowments" and refining is a listed on-site activity.

MISLEADING

ENVIRONMENT

Pax Silica will drive rare-earth and nickel plunder

Kalikasan PNE · AGHAM · CPU · KMP

Substantially overstated as applied to semiconductors. Silicon is ~95% of semiconductor material demand and the Philippines is not a silicon producer; per-mineral end uses: nickel is ~65–70% stainless steel with batteries ~10–15% and rising; cobalt was 76% lithium-ion batteries in 2024, of which EVs ~43% and portable electronics ~30%, with stainless nil; chromite is ~90–96% metallurgical and ferrochrome, over 80% of that to stainless. Semiconductor demand for these minerals is negligible, confirmed against USGS, INSG, Cobalt Institute and ICDA breakdowns. A narrower minerals concern survives.

MISLEADING

ENVIRONMENT

Data centres will cause light pollution disrupting wildlife

Advocacy groups

Substantially overstated, but a legitimate and mitigable EIA screening item. Data centre interiors are essentially unlit; exterior lighting is not. 24/7 perimeter security, parking, roads and the construction phase are a documented ecological disruptor per US DOE Solid-State Lighting guidance and DarkSky International's statement specifically on data-centre light pollution, and readily mitigated with full-cutoff fixtures, lamps at 3000K or below, and curfew dimming. Campaigners would be better served narrowing this point than dropping it.

UNVERIFIED

LEGAL & SOCIAL

Clark Freeport exceeds 30,000 ha, of which 15,000+ ha are already allocated to indigenous groups

BCDA

Offered by BCDA in support of its no-displacement position. Not independently verified in this review, and it concerns the wider Clark Freeport rather than the Pax Silica parcel.

DISPUTED

LEGAL & SOCIAL

No indigenous community will be displaced

BCDA · Malacañang

Turns on titled versus claimed domain. Aeta CADT applications over Capas were filed in 1999, 2014 and May 2019. Under IPRA, native title and FPIC obligations do not depend on a CADT having issued. Section 59 goes further: it bars any government agency or government-owned corporation from issuing a lease or concession without NCIP certification that the area is not overlapped, and its proviso covers pending applications, so a new BCDA lease would be barred outright if the parcel overlaps the Aeta claims filed in 1999, 2014 and 2019.

DISPUTED

LEGAL & SOCIAL

Only about 10 farmers are affected

BCDA

Campaigners cite ~20,000 Aeta and farmers; historical NCC-wide figures cite 65,000 people in 12 villages including ~18,000 Aeta. Unresolvable without Annex A.

VERIFIED

LEGAL & SOCIAL

A two-year rent-free grace period is offered

BCDA letter

"Years 1–2 (Grace Period), In-kind Contribution of the Philippines." Worth roughly PHP 4.8bn at the rent implied by BCDA's own figures.

UNKNOWN

LEGAL & SOCIAL

The Year-3 lease rate

BCDA letter

Verified that it is undetermined. The published table reads "To be discussed."

UNKNOWN

LEGAL & SOCIAL

The lease term

BCDA letter

No term is stated anywhere in the document. BCDA separately cites the 99-year ceiling under RA 12252.

PARTIAL

LEGAL & SOCIAL

Investors may lease for up to 99 years under RA 12252

BCDA

Verified as to the law, unverified as to this project, and narrower than the citation implies. The 99-year regime under RA 7652 as amended covers private lands leased by registered foreign investors.

New Clark City is state land, which raises a threshold question about whether the regime applies at all, and it confers no authority for a master lease to a foreign government.

DISPUTED

LEGAL & SOCIAL

The US sought diplomatic immunity and US jurisdiction

BCDA (Bingcang)

Helberg: "We never said our goal was to maintain diplomatic immunity... patently untrue." The State Department declined to answer the direct question on 26 May 2026.

DISPUTED

LEGAL & SOCIAL

The project is purely commercial, with no defence function

Helberg · BCDA

Not sustainable as stated. Amb. Romualdez links Pax Silica revenue to the country becoming "more militarily equipped"; the US fact sheet frames the network as displacing rival supply chains. No dual-use exclusion clause is published.

VERIFIED

SCOPE

Pax Silica has 25 signatories

US State Dept

CORRECTION, 1 Aug 2026 — this site previously published "24 signatories" as verified. That was accurate when checked on 26 June 2026; Italy signed the Declaration at Brindisi on 31 July 2026 as the 25th signatory, and the count is now 25. Still widely miscounted as 13, 14, 15, 23 or "about 30". One signatory, the EU, is not a country. Saudi Arabia has been wrongly listed.

FALSE

SCOPE

"More than 30 countries" have joined Pax Silica

BCDA · Palace briefing, 23 Jul 2026

Stated twice to national media. The State Department count on that date was 24 signatories, unchanged since the Second Summit four weeks earlier, and one of the 24 is the EU rather than a country. The 35-economy figure belongs to the separate Joint Statement on AI Opportunity. An overstatement of roughly 25%, uncorrected.

FALSE

SCOPE

Pax Silica is "23-member strong"

President Marcos · State of the Nation Address, 27 Jul 2026

Stated in the annual address to Congress. The State Department count that day was 24. The figure is not random: the State Department's own Pax Silica page lists 23 signatories and omits the United States from its own roster, so counting the page yields 23. Two outlets repeated it within the week. The same government produced an overstatement of roughly 25% and an understatement of one within four days, neither corrected publicly.

PROJECTION

LEGAL & SOCIAL

A framework will be signed in November 2026 at the ASEAN Summit

BCDA

Other statements point to 2027 finalisation; Finance Sec. Go says "within the year".

VERIFIED

LEGAL & SOCIAL

The USTR imposed a 12.5% forced-labour tariff on Philippine exports

Office of the US Trade Representative

Published 23 July and effective 24 July 2026, finding the Philippines "has failed to impose and effectively enforce a forced-labor import prohibition." Verified against the Federal Register notice, the measure carries exemptions, semiconductors and other Section 232-covered articles, donations, informational materials, and an excluded-products annex expanded by 471 HTS subheadings, and it replaced a Section 122 surcharge of 10%, documented to Federal Register doc. 2026-03824, which expired at the same minute the new action began. For goods covered by both, the net increment is roughly +2.5 percentage points. For the exempt goods, which include semiconductors, coconuts, pineapples, bananas and nickel ores, the change was a decrease of about 10 points. The signal stands even as the magnitude shrinks.

51 OF 51 CLAIMS SHOWN

05 —

the full assessment

Twenty-nine sections. Each opens in place; the complete report downloads as a PDF.

download the full report · pdf ↓

ARCHIVAL FIRST EDITION · 26 JULY 2026 ↗

01

Prefatory note on timing and currency

Why the timing matters, and the conventions used throughout.

This report was completed one day before President Marcos’ fifth State of the Nation Address of 27 July 2026, which Malacañang trailed as containing an "earth-shaking" announcement. Anything said at SONA postdates this cutoff.

Four developments in the fortnight before cutoff are material enough to drive specific conclusions. The anchor tenant has been named: Foxconn, the same company whose Wisconsin project delivered a fraction of its announced investment, which converts the "announced versus delivered" comparison from an analogy into a direct precedent involving the same counterparty. Official job claims have escalated to five mutually inconsistent figures issued by four arms of government within a fortnight. The United States imposed a forced-labour tariff on Philippine exports on 24 July 2026. And a signed ACWA Power lease provides a hard land-per-megawatt benchmark that permits a rigorous test of the renewable-power claim, a test the claim fails by a wide margin.

All conversions use PHP 61.85 per US$1, from US$1 = PHP 61.847, the peso’s record-low close of 24 July 2026. Where a source gives a peso figure it is reported as given and converted; where a source gives dollars, the peso equivalent is calculated.

Two cutoffs apply. Project facts are current to 26 July 2026, 11:13 UTC, which is 19:13 Philippine Standard Time. Comparator, legal and technical sources were verified through 27 July 2026.

SOURCES DRAWN ON T3-21 · T1-05

02 Backgrounder: Pax Silica and the world that produced it

The transaction cannot be judged without the system it belongs to.

For roughly three decades the semiconductor supply chain was organised by cost alone: designed in the United States, printed on Dutch machines, fabricated in Taiwan and Korea, assembled and tested in the Philippines and Malaysia, from minerals refined wherever it was cheapest, increasingly China. Geopolitical disruption was a tail risk, not a design constraint. What ended that arrangement was a decade-long exchange of blows: China's 2010 rare-earth halt against Japan; the Huawei entity-listing; the October 2022 export controls; the CHIPS Act and the European Chips Act; gallium and germanium licensing in 2023 escalating to an outright ban in 2024; the H20 ban and China's seven-rare-earth restriction in 2025; and extraterritorial rare-earth controls in late 2025, suspended for a year under a trade truce. Both superpowers have now repeatedly demonstrated willingness to weaponise their chokepoints, and every economy in the chain is being asked to buy an insurance policy.

The alliance's logic is complementarity, not symmetry. ASML holds a true 100% monopoly on EUV lithography; Arm sits under more than 99% of smartphones; SK Hynix and Samsung hold roughly 80% of high-bandwidth memory; TSMC dominates the frontier. Against them China holds 98–99% of primary low-purity gallium, about 91% of refined rare earths and about 94% of magnets. Southeast Asia holds assembly, test and packaging, which is the Philippine seat at the table, with electronics at more than 54% of national exports.

The least visible chokepoint is capital. Design costs run from about US$42.8m at 28nm to US$89.8m at 16nm, US$249m at 7nm, US$449m at 5nm, US$581m at 3nm and roughly US$725m at 2nm. Geology is not enough and neither is labour: a country holding minerals or assembly capacity but standing outside the allied capital and licensing umbrella is structurally marginalised. That is the coercive underside of the positive-sum language, and it is why membership grew from 7 to 25 signatories in eight months.

Compute has also turned electricity into a membership qualification. Qatar signed on 12 January 2026 and the UAE on 14 January; the physical anchor is the 5 GW UAE–US AI campus in Abu Dhabi, the largest AI infrastructure project outside the United States. This is the same energy-for-compute logic that makes the 3 GW question at New Clark City the decisive Philippine feasibility issue. In this system, electricity is the entry ticket.

The architecture was built in a single week of February 2026. Project Vault, announced 2 February, is EXIM's largest financing in 92 years, up to US$10bn plus about US$2bn of private capital, creating a U.S. Strategic Critical Minerals Reserve across all 60 USGS critical minerals. FORGE, announced 4 February, supersedes the Minerals Security Partnership with a preferential bloc built on coordinated price floors enforced through adjustable tariffs. Pax Silica is the third stage: the demand anchor. The 4 February Ministerial that launched FORGE is the same event at which the Philippines signed its Critical Minerals MOU.

This sharpens rather than changes the assessment. Standing wholly outside carries documented exclusion risks that fall hardest on an economy whose exports are 54.3% electronics. But the system is explicitly tiered, explicitly US-arbitered and explicitly designed around revocable access. Membership is therefore not the prize; position within the membership is the prize, and position is determined by exactly the instruments this report finds undetermined: the lease terms, the processing obligations, the technology-transfer covenants, the governing law.

SOURCES DRAWN ON T1-01 · T1-06 · T2-01

03

Executive summary

Nothing is legally binding, financed, contracted or permitted at the project level.

The Philippines has joined a United States-led political initiative and has publicly offered approximately 1,618.74 hectares of state land in New Clark City, Capas, Tarlac, to host its first Economic Security Zone. As at the latest verification, nothing about the project is legally binding, financed, contracted, or permitted at the project level.

What exists is a non-binding declaration signed on 16 April 2026 by a Department of Trade and Industry undersecretary; a four-page proposal letter from the Bases Conversion and Development Authority dated 9 April 2026; a named but uncommitted anchor tenant; roughly thirty unnamed letters of interest; and a framework agreement both governments hope to sign in November 2026 during an ASEAN Summit that President Trump is expected to attend.

The only published Philippine legal instrument does not describe the project the government is marketing. The headline economic figures are unreconciled, and two are arithmetically implausible as presented. The two binding physical constraints, water and power, have not been shown to be soluble on the published parameters. The counterparty relationship is markedly less favourable than the framing suggests. And, in fairness, the strategic case is genuine and some of the criticism is wrong.

The recommendation is neither endorsement nor rejection. It is that the Philippines should decline to sign in November 2026 unless a defined set of disclosures and binding conditions are satisfied first. The country's negotiating position will never again be as strong as it is between now and November.

SOURCES DRAWN ON T1-02 · T1-03 · T1-05 · T1-14

04

Key judgments

Sixteen judgments on a five-point confidence scale. Structured analytical judgments, not calibrated probabilities.

The Pax Silica Declaration is a non-binding political declaration, not a treaty and not a legally enforceable executive agreement. It imposes no obligation and confers no entitlement. Every benefit invoked in Manila (investment, technology transfer, upskilling, market access) is unsecured by the instrument actually signed. Confidence: high.

No investor has made a binding, disclosed commitment. The published BCDA proposal describes a bilateral government coordination facility with an exclusive-use clause covering the entire 4,000 acres, not a multi-tenant industrial park.

The US$40–70bn investment figure and the 130,000–190,000 jobs figure are unreconciled and jointly implausible. A mixed-use configuration delivering both is arithmetically constructible, but it would require more back-end employment inside this one site than the entire national industry supports today. The impossibility claim is withdrawn; the disclosure demand stands. Official employment claims are inflating without new evidence.

On-site rainwater harvesting alone is physically insufficient at the stated 90 MLD demand. A 3 GW load cannot be served by on-site or near-site solar on any realistic land budget, though whether an off-site renewables-plus-firming configuration could work is unmodelled by anyone, and marked as such. The immunity and jurisdiction question is unresolved, not closed. BCDA's claim that no indigenous community is affected rests on the absence of a titled ancestral domain, not the absence of a claim.

The "resource plunder" critique is substantially overstated as applied to semiconductor demand, though a narrower minerals concern remains legitimate. The claim that the project is purely commercial with no defence dimension is not sustainable as stated, though an on-site defence function is expressly not established: what is established is a strategic-security linkage and a gap between framing and statements by Philippine officials. The distributional profile below is a structured risk hypothesis pending the undisclosed instruments, not a finding. And the project is pre-decisional rather than underway: fifteen of sixteen implementation gates are open, a status BCDA itself confirmed in a formal FOI denial of 12 May 2026. How much leverage the Philippines loses on signature depends on what the November instrument actually creates, which is why the decision rule below turns on the rights a text confers rather than on its label.

SOURCES DRAWN ON T1-05 · T1-03 · T3-03 · T3-06
plus arithmetic derived in the calculation reference

05

What is known, claimed, disputed and still unknown

The claim-verification matrix: forty-nine claims adjudicated.

Known and verified: the Declaration text and its 25 signatories; that the Philippines signed on 16 April 2026 through a DTI undersecretary; the complete text of the BCDA letter including the two-year grace period, the undefined Year-3 rate and term, the reversion clause, the exclusive-use clause and the statutory miscitation; the US fact sheet’s "joint governance" language; the US-Philippines Critical Minerals MOU of 4 February 2026; the ACWA Power 500-hectare solar lease; and the USTR tariff of 24 July 2026.

Claimed but unverified: every economic figure in circulation, investment, jobs, taxes, exports, GDP share, originates with the Philippine government and rests on studies that have not been published.

Disputed: immunity and jurisdiction; the number of affected farmers and indigenous households; whether the project is renewably powered; whether it has a defence dimension; the scale of the minerals linkage.

Unknown: the framework text; the identity of all interested firms; the identity of the "US-based company" described by BCDA as project proponent; the Year-3 rent; the lease term; the metes and bounds; the water balance; the grid interconnection plan; the incentive package and its fiscal cost; the domestic value-added assumption; and whether Senate concurrence will be sought.

SOURCES DRAWN ON T1-01 · T1-02 · T1-03 · T1-05 · T1-14 · T1-15 · T4-01

06

Definitions and boundaries of the project

Public debate conflates at least eight distinct things.

Separating them is the single most important analytical step in this file. The Pax Silica initiative is a US State Department programme with no legal personality. The Declaration is a short non-binding political text with 25 signatories. Philippine accession was a political act with no domestic legal effect. The proposed Economic Security Zone is a proposal only. The Pax Silica

Coordination Office is what the BCDA letter actually proposes. The Luzon Economic Corridor is a separate initiative, announced April 2024 as a US–Japan–Philippines corridor and expanded on 11 May 2026 to add Australia, Canada, Denmark, France, Italy, Korea, Sweden and the United Kingdom, with its own steering committee. The Critical Minerals Framework is a separate non-binding MOU. And New Clark City's pre-existing projects have their own permits and disputes predating all of it.

Two boundary errors recur. New Clark City is in Capas and Bamban, Tarlac, not at the former Clark Air Base in Pampanga, and not in Pampanga at all. And "Pax Silica" is used interchangeably for the global initiative and the Philippine site; they have different memberships, legal statuses and risk profiles.

The core analytical error is bundling. BCDA has described the site as integrating semiconductor packaging, electronics, AI computing, R&D and mineral processing, activities that differ by an order of magnitude or more on every parameter that matters: capital intensity, jobs per dollar, water, power, hazardous waste. A single impact estimate spanning all of them is not an estimate; it is a category error. The activity mix has not been published, so every figure in circulation is unfalsifiable.

The named anchor sharpens this considerably. Foxconn's described activity is "computer parts and electronic components manufacturing", conventional electronics assembly. Not wafer fabrication, not hyperscale compute. If the anchor sets the character of the zone, this is an electronics manufacturing park with an AI-branded name, which is a legitimate and useful thing to build but is not what the prospectus describes.

SOURCES DRAWN ON T1-05 · A-01 · A-02

07

Research methodology and limitations

A triangulated, mixed-method design, and the things it cannot see.

The design combines a systematic scoping search; a four-tier source hierarchy with explicit adjudication of conflicts; process tracing against a ten-step implementation ladder; a claim-evidence audit; parametric techno-economic appraisal with disclosed formulas; legal-textual analysis; environmental and social risk screening under Philippine law; stakeholder and distributional mapping; comparative case analysis; and scenario and sensitivity analysis.

This review is not PRISMA-compliant and is not described as such. No protocol was pre-registered, no dual independent screening was performed, and no formal risk-of-bias instrument was applied. Wikipedia was consulted only to cross-check dates; several of its details conflicted with State Department primary sources and were discarded.

Four adjudication rules are visible throughout. Primary text beats characterisation. Official statistical series beat industry association claims. A party's admission against interest carries extra weight, the Finance Secretary's "thousands of jobs" is treated as more probative than aggregate promotional figures. Silence from a party with an interest in speaking is weak corroboration only, and never bears weight alone. And technical claims are tested against arithmetic, not against the credibility of the claimant.

Known limitations: only two Philippine primary documents are public; the letter's Annex A maps are referenced and absent; no fieldwork or interviews were conducted; site-specific rainfall, catchment, aquifer and seismic data are unpublished; the record is asymmetric, with BCDA extensively documented and affected communities represented mainly through advocacy intermediaries; local government units are almost entirely absent; and this is a fast-moving file with four material developments in the fortnight before cutoff.

SOURCES DRAWN ON T1-01 · T2-01 · T3-14

08

Detailed timeline

Nine months from initial discussion to a published unilateral offer, and no further.

The enabling statutes come first: RA 7227 created BCDA in 1992; CREATE MORE was signed in November 2024; RA 12252 replaced the 50+25-year foreign investor lease with a single term of up to 99 years in September 2025. Aeta Hungey groups filed CADT applications over Capas in 1999, 2014 and May 2019. New Clark City construction began in 2018.

The initiative itself moved quickly. The inaugural Pax Silica Summit was held in Washington on 12 December 2025, with seven founding signatories, the US, Japan, Israel, Australia, Singapore, Korea and the UK, and the Netherlands, Taiwan, Canada, the EU and OECD attending as guests. The Netherlands associated as a non-signing partner five days later; Qatar and the UAE signed in mid-January, India on 20 February, Sweden in March, Finland in April and Norway in May. On 2 February 2026 the US launched Project Vault, and on 4 February Secretary Rubio launched FORGE at the inaugural Critical Minerals Ministerial, the same event at which DENR Secretary Lotilla signed the US-Philippines Critical Minerals MOU. On 9 April 2026 BCDA President Joshua Bingcang signed the proposal letter offering roughly 4,000 acres rent-free for two years. On 16 April 2026 the Philippine Embassy transmitted it by Note Verbale, DTI Usec. Rodolfo signed the Declaration, and the State Department announced the Zone, "joint governance," and an intent to "fuse American expertise in institutions and legal regimes."

Then contestation. On 18 May 2026 Bingcang stated the Philippines had refused a US request to place the zone under American law; on 25 May Helberg called that "patently untrue"; on 26 May the State Department declined to say what governing law would apply. On 19 June the Makabayan bloc filed House Resolution 1128. At the Second Summit in late June, the Under Secretary’s opening remarks of 25 June previewed the Zone in a dedicated section, and the outcomes document published the following day did not mention it.

The final fortnight compressed everything. Foxconn was named on 7 July. The DFC approved LNG feasibility funding on 16 July. Scientists and farmers marched to the US Embassy on 13 July. Job claims escalated across four agencies between 22 and 26 July. And on 24 July the USTR imposed a 12.5% tariff and the peso closed at a record low. The only legally binding instruments in the whole record are Philippine enabling statutes, a separate ACWA Power solar lease, and, on the US side, a tariff against Philippine exports.

SOURCES DRAWN ON T1-10 · T1-11 · T1-02 · T1-05 · T1-07 · T1-06 · T3-06 · T3-03

09

Global Pax Silica structure and objectives

A State Department programme, not an international organisation.

Pax Silica has no secretariat with legal personality, no founding treaty, no published shared budget, no dispute-resolution mechanism, no accession criteria and no exit provisions. Coordination runs through the Office of the Under Secretary for Economic Affairs, held by Jacob Helberg, previously Senior Advisor to the CEO of Palantir, Google's global lead for foreign-interference product policy, and a Commissioner on the US-China Economic and Security Review Commission. This is not a neutral trade-facilitation background, and Pax Silica is best understood as an instrument of technology-bloc formation, which is exactly how its own fact sheets describe it.

The Declaration's operative language is uniformly hortatory: affirm, recognize, believe, encourage, seek, support, understand, and at its strongest, intend. "Intend" is the standard marker of a deliberately non-binding instrument. There is no "shall," no obligation, no entry-into-force provision, no termination clause and no dispute settlement. The legal reading cuts both ways: the Philippines has not surrendered sovereignty by signing, but equally none of the benefits invoked in Manila is secured by it.

There were 24 signatories as of 26 June 2026, the 23 listed on the State Department's own Pax Silica page plus the United States, which the page omits from its own list. Italy signed at Brindisi on 31 July 2026 as the 25th signatory, bringing the standing count to 25. Taiwan endorses the principles without signing, through a separate joint statement. A different and larger group of 35 economies signed the Joint Statement on AI Opportunity, several of them not Pax Silica signatories. Media have variously reported 13, 14, 15, 23, 24, "close to three dozen" and "about 30," and at least one Philippine outlet has listed Saudi Arabia, which the State Department list does not support. One signatory, the European Union, is not a country. Officials should stop using "member countries" without qualification.

In seven months the initiative has delivered four things: the Declaration; the Joint Statement; a planned funding opportunity for an AI supply-chain provenance platform piloted in Panama; and the Stanford Foundry School. CORRECTION, 2

Aug 2026. This site previously called the Zone's absence from the Second Summit outcomes document analytically significant, and offered two explanations, that it was not ready to be reported as a deliverable or that it is less central in Washington than in Manila. Both are withdrawn. A cross-model adversarial review established that the Under Secretary's opening remarks of 25 June contain a dedicated Economic Security Zone section stating that the United States will announce the first Zone in the Philippines, so the Summit was not silent about it, and that neither explanation is supported by the two documents. What the record establishes is narrower, a future-tense preview on 25 June followed by omission from the formal outcomes summary on 26 June, with the documents not explaining the difference.

SOURCES DRAWN ON T1-01 · T1-06 · T1-18

10

What the Philippines has signed, offered and obtained

One political declaration, one unilateral offer, and nothing enforceable in return.

The Philippines has signed one instrument: the Pax Silica Declaration, on 16 April 2026, by a DTI Undersecretary. Not the President, not the Secretary of Foreign Affairs, not ratified, not transmitted to the Senate. That signature level is entirely consistent with a non-binding instrument, but it also means the Philippine state has never formally deliberated on Pax Silica at Cabinet, NEDA Board or Senate level on any public record located in this review. If the November framework carries materially greater legal weight, it cannot properly be executed by the same route.

The BCDA letter of 9 April 2026 is a unilateral offer. It proposes a Pax Silica Coordination Office on approximately 4,000 acres under a lease-free arrangement for two years as the Philippines' in-kind contribution. Section I lists five coordination functions, minerals supply-chain security, joint strategic industrial planning, allied investment mobilisation, workforce development and technology transfer, and such other activities as the two governments may determine. Section II.3 restricts the entire 4,000 acres to those purposes exclusively.

Seven problems appear on the face of the offer. The exclusive-use clause contradicts the public project. Annex A is missing. No lease term is stated. The Year-3 rate is "to be discussed." Section III rests the offer on RA 7916, the Special Economic Zone Act of 1995, and then miscites the BCDA charter as Republic Act No. 7277, the Magna Carta for Disabled Persons, rather than RA 7227; US acceptance is to be effected under 22 U.S.C. §2697 and the Foreign Affairs Manual. The letter reserves consultations on "the status of personnel" and "internal security", and "status of personnel" is the standard formulation in status-of-forces and status-of-mission instruments, so it was the Philippine document itself that placed the subject on the table. And BCDA proposes to enter the Supplemental Agreement "on behalf of the Philippine Government," which is a government-owned corporation acting as the state’s treaty-adjacent agent.

What the Philippines has obtained is nothing enforceable. There is no investment commitment, no technology-transfer obligation, no local-content requirement, no employment floor, no wage standard, no market access, no financing facility and no trade-treatment commitment, while the same counterparty raised tariffs on Philippine goods.

SOURCES DRAWN ON T1-05 · T1-03 · T1-04 · T3-01 · T3-02

11 New Clark City scope and implementation status

Seventeen per cent of a 9,450-hectare development, and no published map.

New Clark City is a 9,450-hectare BCDA development in Capas and Bamban, Tarlac, begun in 2018 as a disaster-resilient government and industrial centre. The Pax Silica parcel is approximately 1,618.74 hectares within it, or 17.1% of the whole.

Every substantive question about this project is downstream of a map that has not been released. Without metes and bounds, it is impossible to determine which households are affected, which watercourses are enclosed, what the catchment actually is, whether the parcel overlaps areas subject to Aeta CADT applications, or what the land is currently used for.

BCDA has confirmed this status in its own official records. On 12 May 2026, refusing a citizen's Freedom of Information request for the project pipeline, it stated that "the project is still on the planning stage and it is premature for BCDA to release any official information," invoking the pre-decisional and premature-disclosure exceptions. On 10 June 2026 it refused a request for the site map, on the ground that records involving ongoing state negotiations and strategic master plans are not final until they are. Those two denials are the proponent's own formal confirmation of both findings in this section: the project is pre-decisional, and the Annex A vacuum is deliberate rather than accidental. Fifteen of sixteen implementation gates are open. Public discussion, including by officials, has consistently treated the project as further advanced than the record supports. The single most common category error is treating a letter of interest, a site visit, a named prospect, or a feasibility study as an investment commitment.

SOURCES DRAWN ON T1-07 · T1-15 · T3-03 · T3-08

12 Governance, ownership, financing and lease structure

Joint governance is asserted; its content is undefined.

The US fact sheet describes an intent to "fuse American expertise in institutions and legal regimes" with Philippine assets under "joint governance." Neither government has published what joint governance means concretely, what body, what powers, what decision rules, what dispute mechanism, and what happens when the two legal regimes conflict. "Shared upside" is likewise undefined: there is no published equity structure, revenue-share mechanism, royalty or profit participation.

The immunity dispute is unresolved, not closed. The Wall Street Journal reported the hub would operate under US common law with embassy-equivalent protections; BCDA says it refused that request, citing RA 7652 and RA 7227 and calling it "a regular business development contract"; Under Secretary Helberg says immunity was never sought; the State Department declined to answer the direct question. The accounts reconcile if the ask was framed as "operational certainty" and the Philippine side correctly read its substance. What is not in dispute: the governing-law question is open, and the published Philippine letter expressly reserves consultations on the status of personnel and on internal security.

Land ownership is not transferred, and the reversion clause returns the property and permanently affixed improvements to the Republic on expiry. But a 99-year, sublettable, collateralisable master lease over 1,618.74 hectares held by a foreign government is a materially different proposition from thirty direct locator leases with the Philippine state, and which of the two is intended has not been disclosed.

On financing, the disclosed money is technical assistance and facilities rather than project capital: USTDA US$3.8m, raised from US$2.5m; Sweden PHP 74m; a UK export-finance capacity of PHP 411bn, which is a facility and not a project commitment; and a DFC-funded feasibility study. The one committed equity figure in the file, ACWA Power at roughly US$200m, belongs to a different project on different land. No Pax Silica financing facility, common fund or investment vehicle exists.

SOURCES DRAWN ON T1-05 · T3-03 · A-02 · A-03

13

Technical and infrastructure feasibility

Water and power are the binding constraints, and neither has been shown soluble.

At 90 MLD, harvesting from rainfall requires a catchment of roughly 1,460–3,129 hectares depending on rainfall and runoff assumptions, between 90% and 193% of the entire site, before allowing for the 40% reserved as open space. Even under the most favourable assumptions this means capturing essentially all rainfall over essentially the whole site, which is incompatible with the green-space commitment and with the site actually being used for industry. At 90 MLD the water is watershed water, which is the community's water.

Sustaining supply through roughly 180 dry days requires 11.7–16.2 million cubic metres of storage, a major dam that appears in no published plan or cost estimate. And the 65–90 MLD figure appears to cover direct site cooling and process water only; at a benchmark of about 1.2 gallons per kWh including indirect use, a 3 GW load implies roughly 327 MLD, some 3.6 times the disclosed figure.

On power, 3,000 MW is 19.2% of the DOE's official 15,600 MW projection for 2026 Luzon peak demand, and 20.6% of the 14,534 MW peak actually recorded by mid-2026, on a grid that ran a 373 MW deficit under red alert on 15 May 2026 with 4,106 MW on forced outage across 30 plants. BCDA's own signed ACWA lease sets the benchmark: 500 hectares for up to 500 MW, one hectare per megawatt. Supplying the energy of a 3,000 MW continuous load from solar needs roughly 15,000 MW of nameplate and therefore about 15,000 hectares: 9.3 times the parcel and 1.6 times the whole of New Clark City. The renewables claim is not a matter of ambition or cost; on the land available it is geometrically impossible. That impossibility is established for on-site and near-site solar at the ACWA benchmark; whether an off-site renewables-plus-firming configuration could be engineered is unknown, because no one has modelled it, including this report.

On 27 July 2026 this finding stopped resting on this report's arithmetic alone. Energy Secretary Sharon Garin told Rappler that connecting the full 3 GW load is "too dangerous," that the grid "will just shut down" if a load that size is lost, that 100–200 MW is the manageable ceiling, and that beyond it the project will need its own power plant. The regulator that would have to approve the connection reached the same conclusion independently, and went further than this report had.

The DFC has funded a feasibility study for a ≥1,200 MW LNG terminal and plant. A US development finance institution does not fund a gas feasibility study for a project it expects to run on sunshine. Stated precisely: the LNG study is the only firm-generation option on the record, not a committed plan. Three consequences go unacknowledged: BCDA's "avoid fossil fuels" framing should be corrected; a 1,200 MW combined-cycle plant at high load factor emits on the order of 3–4 million tonnes of CO_2 a year with no published carbon accounting; and LNG is imported and dollar-denominated, creating a structural currency exposure for Philippine industrial power costs.

Positive factors, fairly stated: Clark International Airport is adjacent and handles the air freight by which semiconductors actually move; Subic Bay provides deep-water port capacity; the Subic–Clark–Manila–Batangas rail corridor is progressing; New Clark City has existing trunk infrastructure. This is a genuinely well-located site. But Philippine industrial electricity at roughly 15 US cents per kWh, about 50% above Indonesia and Vietnam, and logistics at about a quarter of sales are national competitiveness problems. A zone designation does not solve them; it concentrates their consequences.

SOURCES DRAWN ON T3-12 · T3-17 · T2-04 · T3-06 · A-05 · A-06 · A-08
plus arithmetic derived in the calculation reference

14

Economic, employment, fiscal and industrial-policy assessment

Announced: US$40–70bn and up to a million jobs. Legally committed: zero.

Pairing US$40–70bn of capital with 130,000–190,000 direct jobs implies 134–196 jobs per developable hectare, a labour-intensive light-manufacturing density. That is not a data-centre density, not a wafer-fab density and not a refinery density. Run it in both directions: if the project is genuinely AI-native, permanent employment lands in the low tens of thousands at most; if it genuinely creates 130,000–190,000 jobs, it must be dominated by assembly, test and packaging at perhaps US$15–30bn of capital, a very large conventional back-end electronics park, which is a respectable thing to build but is not what is being sold.

BCDA's low-end figure for one 1,618.74-hectare parcel would consume DTI-BOI's entire national target of 128,000 engineers and technicians to be produced for the whole semiconductor and electronics industry by 2028, a talent-pipeline target rather than an employment ceiling. Its high-end figure exceeds total employment across all 4,744 Subic Bay Freeport locators. The Labor Secretary's figure would exceed the combined workforce of Subic and Clark roughly three times over. The only bottom-up figure on the record is "thousands," from the named anchor.

On the fiscal side, PHP 60bn of lease income over 25 years equals PHP 148.26 per square metre per year, with a present value of about PHP 25.6bn, 0.59% to 1.03% of the capital it is meant to host. No independent land valuation has been published, which is a governance failure independent of whether the rent is adequate. The PHP 68–75bn withholding tax claim implies average compensation of about PHP 2.13m per worker: 2.4 times a Philippine semiconductor engineer's salary and 8.1 times an operator's, and the implausibility increases as the assumed tax rate falls, so the finding is robust. BCDA closed the one remaining escape route itself on 23 July 2026, describing the figure as the tax contributed by the workers, with other shares bringing the total to PHP 180bn. On that stated composition the conclusion is no longer that the fiscal case cannot be assessed, but that one of the two headline figures is materially overstated.

No published estimate exists of the cost of fiscal incentives. Under CREATE MORE, registered enterprises may take 5% SCIT or 20% CIT with enhanced deductions including a 100% additional deduction on power expenses, for up to 17 or 27 years. For a project defined by extreme electricity intensity, that is a very large tax expenditure. A project that leads with gross tax revenue while omitting tax expenditure is presenting half a ledger. Public cost per permanent job cannot presently be computed, and that it cannot be computed is itself the finding.

The genuine industrial-policy case should not be caricatured. The manufacturing gap is real and widening. The allied advantage, comparative non-entanglement with Chinese capital, is genuine and time-limited. BPO vulnerability at 7.4% of GDP makes an alternative growth engine urgent. And the country's back-end semiconductor base is a real asset, with electronics at US$45.89bn, or 54.3%, of a US$84.48bn export book in 2025, growing 16.11% year on year. But this case argues for negotiating hard, not for accepting the current terms.

SOURCES DRAWN ON T3-09 · T3-19 · T3-23 · T1-17 · T1-19 · T2-03 · A-04 · A-07
plus arithmetic derived in the calculation reference

15 Legal and regulatory assessment

Executive agreement or treaty? The question has not been answered.

The Declaration is non-binding and creates no domestic legal effect. The framework agreement is the instrument that matters, and its text does not exist publicly. The threshold in Article XVIII, Section 25 of the 1987 Constitution is

military character, so the exposure is contingent rather than established. The substance-over-form analysis rests on Saguisag v. Ochoa (G.R. No. 212426, 2016) and its three standards, independence from foreign control, sovereignty and applicable law, and national security, which track precisely the clauses in the published BCDA letter. If the framework contains long-term exclusive foreign use, restricted access, a distinct internal security regime or dual-use functions, it is legally vulnerable and should not proceed as a bare executive agreement. There is also an independent route to Senate concurrence under Article VII, Section 21.

Several statutory questions are open. Whether the Section II.3 exclusive-use clause permits private industrial locators. Whether BCDA may enter a Supplemental Agreement "on behalf of the Philippine Government." RA 7227 §5(c) does confer power to contract "with foreign government entities," but that is commercial capacity only; the Act nowhere confers power to bind the Republic as a foreign-relations act, so the open question narrows to exactly that. BCDA's own charter term runs fifty years to about 2042 (RA 7227 §3), which sharpens rather than settles the succession question under a 99-year lease. And classification of the instrument follows substance "regardless of nomenclature" (EO 459, s. 1997, §2(a)), calling it an arrangement rather than an agreement decides nothing either way. Whether RA 12252's 99-year lease ceiling applies at all. The regime it amends covers private lands leased by registered foreign investors; New Clark City is state land, and the statute confers no authority for a master lease to a foreign government. Both points are threshold questions rather than details. Whether IPRA certification precondition and FPIC processes are engaged notwithstanding the absence of a titled CADT, under the native-title doctrine, they do not depend on a CADT having issued.

No formal legal opinion from the DFA Office of Legal Affairs or the Office of the Solicitor General has been published on any of these questions. Publishing them is cheap, fast, and entirely within the executive's control.

SOURCES DRAWN ON T1-12 · T1-13 · T1-05 · T3-01 · T3-02 · A-09

16

Environmental and social assessment

No project-specific EIS, water balance, energy plan, biodiversity survey or social baseline exists.

The threshold finding is an absence. No project-specific Environmental Impact Statement, water balance study, energy plan, biodiversity survey, cumulative impact assessment or social impact assessment for the Pax Silica parcel is on the public record. DENR has stated that an EIS and Environmental Management Plan will be required, with Multipartite Monitoring Teams. None has been produced.

The cumulative dimension is the one most likely to be missed. An assessment scoped to the parcel boundary would exclude the ACWA solar site, the LEC rail corridor, the LNG terminal and plant, the proposed Subic–Clark jet-fuel pipeline, and any upstream mining expansion, which together are the actual footprint.

On indigenous rights, BCDA’s position that no ancestral domain is affected rests on the absence of a titled domain, not the absence of a claim. Aeta Hungey CADT applications over Capas were filed in 1999, 2014 and May 2019, and displacement disputes at New Clark City have run since 2018. The dispute over affected households, BCDA’s "about 10 farmers" against campaigners’ ~20,000 Aeta and farmers, is unresolvable without Annex A, because the two figures describe different footprints.

On hazardous materials, semiconductor and refining chemistry generates acids, solvents, fluorinated gases, tailings and residues. No treatment, storage and disposal plan has been published, and the former base lands at Subic and Clark have a documented contamination history. Financial assurance bonds and environmental liability insurance sized to remediation cost are the standard response and are absent.

SOURCES DRAWN ON T3-16 · T3-17 · T2-06 · T4-05 · T1-20 · A-11 · A-12

17 Geopolitical, sovereignty and national-security implications

A strategy of displacement, stated by its author, hosted physically by the Philippines.

The US fact sheet is unusually explicit: the Luzon hub is intended as the first Zone in a broader industrial network, and that network is described as capable of competing with, and ultimately displacing, the concentrated supply chains on which the world currently depends. That is the mission statement of the enterprise the Philippines has agreed to host first. It is a source of both leverage and exposure.

The counterparty relationship is asymmetric in a way the framing obscures. The Philippines is being asked to grant durable, specific, physical concessions, land, water, power, rent forgone, in exchange for a non-binding declaration and feasibility studies, by a partner that imposed an additional 12.5% tariff on Philippine exports on 24 July 2026.

The claim that the project is purely commercial is not sustainable as stated. The Philippine Ambassador to the United States has publicly linked Pax Silica revenue to the country becoming "more militarily equipped." No dual-use exclusion clause is published, and no national security assessment of concentrating strategic assets near Clark and existing EDCA sites has been published either.

Retaliation risk is real but should not be overstated. The relevant precedent is targeted trade measures rather than general rupture. Keeping the Zone genuinely multilateral, with Japanese, Korean and European participation, is both a commercial and a geopolitical hedge.

SOURCES DRAWN ON T1-03 · T3-01 · T3-02 · T1-18 · A-10

18 Stakeholder and distributional analysis

Gains concentrate; risks distribute.

Gains concentrate in foreign investors, the national government and the construction sector. Risks concentrate in Tarlac’s water users, Luzon’s electricity consumers, Philippine taxpayers funding enabling infrastructure and incentives, and Aeta and farming households whose numbers remain unpublished.

BCDA and the executive speak frequently and are extensively documented. Affected communities are represented mainly through advocacy intermediaries. Three sets of actors with decisive power are conspicuously silent: NGCP and the ERC, who would bear the blame for reserve shortfalls and price effects; the NCIP, which holds high legal-veto potential over FPIC; and local government units, the Tarlac provincial government and the municipalities of Capas and Bamban, which are almost entirely absent from the record. That absence is the largest gap in the evidence base and a governance failure in its own right.

On the critical side, the Makabayan bloc has the agenda-setting role but Akbayan's is the more consequential critique, transparency, ownership structure, monopoly safeguards, undue foreign influence and critical-infrastructure risk. Church organisations, historically decisive in Philippine politics, are critical and have now mobilised: Caritas Philippines formally opposed the hub "in its present form" on 4 August; the Conference of Major Superiors in the Philippines wrote to the President ahead of the SONA, and religious groups joined SONA-day protests police put at around 6,000. Domestic big business, Ayala, the Makati Business Club, AmCham, is the swing constituency, interested and currently unaligned. Existing Philippine electronics firms are a stakeholder rarely named in the debate. A new zone with preferential terms competes with them for talent and for investment, which is why a competitive-neutrality review by the Philippine Competition Commission belongs in the process.

SOURCES DRAWN ON T4-01 · T4-03 · T4-04 · T4-05 · T4-07 · T3-18 · T3-11

19 The public conversation: a social-listening analysis

6,437 mentions, December 2025 to SONA eve. The conversation turned, and it is still turning.

Section 17 mapped who the stakeholders are; this section measures what they are actually saying. The source is a social listening export of 6,437 public mentions of "Pax Silica" worldwide from 6 December 2025 to 27 July 2026, stated by the provider to be a 10% sample excluding reshares, implying a universe on the order of 64,000 original posts, and measuring original speech rather than reach. An authenticated inspection on 2 August put the gap at roughly 4.7 times: originals are about 21% of all matched activity, so those 64,000 originals sit inside something on the order of 300,000 pieces of total activity.

Before the Philippines joined, Pax Silica was covered, not discussed. The 2,286 pre-accession mentions were 60% online news and 28% X, with 75.2% neutral and a net of −1.0, the signature of wire-service copy. Volume moved only when a country signed, and India's accession on 20 February was the single largest day of the whole record outside July, and net positive. Philippine-related content was 0.7% of that phase.

Accession did not just add the Philippines to the conversation; the Philippines took it over. Post-accession, 46.3% of mentions are Philippine-related and a third are in Filipino. The top channels became Facebook at 31%, X at 23% and Reddit at 23%, while news fell from 60% to 18%. Reddit went from 39 mentions to 943, a 24-fold increase. Net sentiment moved from −1.0 to −24.8.

The monthly trajectory is a structured deterioration punctuated by one recovery. April from the 16th: 181 mentions, net −3.3. May: 495, net +12.1. June: 548, net −11.7. July: 2,927, net −34.8. May's positive spike coincides with the government's most defensive month, the public rejection of the US jurisdiction-and-immunity request on 18 May. The Philippine public rewarded the government for saying no. The subsequent slide tracks the disclosure vacuum.

July was an eruption: 45% of the entire eight-month record, with the final eight days carrying 36.4% of everything ever said. All five of the record's biggest days fall in that window and all are sharply negative, 24 July at 621 mentions and net −43 as the BCDA figures blitz, the 99-year-lease disclosure and the US tariff landed together; 22 July at net −50 during Secretary Rubio's Manila visit amid protests. The opposition has minted its own hashtag: #NoToPaxSilica appears 50 times against #PaxSilica's 105.

The topic structure is the finding. The high-volume topics are contested but balanced, AI and technology at 41.8% of mentions sits at net −1.5, geopolitics at

20.1% sits at 0.0, jobs at 17.3% is net +2.6 and minerals at 12.3% is net +2.3. The public genuinely argues both sides of the economics. The low-volume topics are one-sided: water and environment at net −43.8, land and indigenous rights at −50.3, governance and corruption at −54.4. These are one-sided grievances. BCDA’s July "myths vs facts" campaign was aimed precisely at the water and displacement claims, and the July data show no rehabilitation of those categories. The corruption category is the smallest and the most negative of all, the theme officials have addressed least.

Four implications. The political-risk register is measurably live, and the negative surge is accelerating into the November signing window rather than fading. Assertion is failing as a communications strategy and disclosure is untested, the two best sentiment months are February and May, and the worst is July, the month of the largest volume of official claims and the smallest volume of official documents. The conversation has moved to venues the government does not brief: Facebook, Reddit and X carry 77% of post-accession discussion, a third of it in Filipino, while Palace briefings remain optimised for a news channel that has fallen to 18%. And four new monitoring indicators follow: monthly net sentiment on a constant method, the #NoToPaxSilica-to-#PaxSilica ratio, the channel mix, and the water and land topic share.

Caveats applied throughout: machine sentiment is unreliable on Filipino and Taglish irony, so levels are directional and month-to-month changes on a constant method are the reliable signal; topic categories are keyword-based and 33.3% of mentions match none; channel coverage reflects the listening platform’s access, with no TikTok and only public Facebook content; and Philippine-related and Filipino-language classifications are this report’s, not the platform’s.

SOURCES DRAWN ON T3-13 · T3-14 · T3-15 · T4-02 · T4-08

International comparisons and lessons

Six comparable cases. Silicon Valley is not one of them.

Foxconn in Wisconsin is not an analogy but a precedent involving the same counterparty. Announced in 2017 as US$10bn and 13,000 jobs with up to US$2.85bn in state credits; renegotiated in 2021 to US$672m and 1,454 jobs with credits cut to US$80m, but those 2021 figures are renegotiated contractual targets for tax-credit eligibility, not delivery. WEDC-verified actual delivery through 31 December 2024 is approximately US$717m invested cumulatively, 1,242 jobs and US$62.9m of credits earned. Against the original announcement that is ~7.2% of investment and ~9.6% of jobs, materially unchanged, and slightly worse on jobs. A November 2025 WEDC-Foxconn amendment plans a further US$569m and 1,374 jobs by 2029. The lesson is not that Foxconn is uniquely unreliable, it is that a wealthy, institutionally strong government with sophisticated counsel could not hold a large manufacturer to a headline announcement, and the only thing that protected its taxpayers was the performance-linked clawback in the contract. The Philippines has no such structure, no contract, and no clawback.

Penang shows that value-chain ascent is real but generational, driven by skills investment and supplier development rather than by zone designations or land concessions. The Philippine binding constraint is skills depth and supplier capability, not land, and a country that responds to that constraint by offering land is answering a question nobody asked.

Indonesian nickel downstreaming is the most directly transferable case: a host state that controls a scarce input can dictate terms. Indonesia used regulatory leverage over its resource, not land concessions. The Philippines holds the world’s fourth-largest copper and fifth-largest nickel and cobalt reserves, and is currently leading with the concession rather than with the lever. The counter-lesson matters too, Indonesia’s approach imposed real environmental and social costs.

India shows that even a large domestic market with deep engineering talent could not skip the back-end-first sequence. Vietnam shows that export volume without enforced local content produces thin value capture. And Intel in the

Philippines, 1996–2009, is the domestic precedent: the country already hosted a marquee American semiconductor anchor for thirteen years, and neither retained it nor built a domestic chip industry from it. The capital went to Vietnam. The variable that determines whether this time differs is not the size of the announcement but whether binding technology-transfer and supplier-development obligations are written into the contract.

SOURCES DRAWN ON T1-21 · T2-01

21

Scenario analysis

Five futures, each with a probability band of roughly ±10 points, explicit triggers and early-warning indicators.

Scenario A: proceeds substantially as announced, ~10%. Scenario B: proceeds but narrower, slower and less capital-intensive, ~35%, the most likely single outcome. Scenario C: delayed or stalled, ~30%. Scenario D: external geopolitical or trade shock, ~15%. Scenario E: no project, and an alternative industrial policy counterfactual, ~10%.

Scenario B deserves particular attention because it is both the most likely and the most politically dangerous. What gets built is a conventional advanced-electronics park with an ATP core, genuinely positive for the Philippines, and certain to be reported as a failure because the gap will be measured against 190,000 jobs and US$70bn. This is the strongest argument for the government to reset expectations now, before the numbers become the benchmark.

The outcome is most sensitive, in order, to: whether a named anchor reaches financial close with disclosed capital; whether firm power is delivered, when, and at what price; whether water storage is built and abstraction capped; whether the framework survives legal challenge; the global AI capex cycle; and US trade policy toward the Philippines. Three of the six are within Philippine control, and all three are currently unresolved. That is where policy effort should concentrate, because it is where effort changes outcomes.

22

Risk register

Twenty-one risks, with likelihood, impact, exposed parties and early-warning indicators.

The highest-likelihood risks are that investment does not materialise at announced scale; that job numbers are over-delivered on paper and under-delivered in fact; that fossil lock-in contradicts climate commitments; that terms are fixed at a disadvantage because the Year-3 rent and term remain undetermined at signature; that value capture remains thin in an enclave outcome; and that a good outcome is read as a failure.

The highest-impact risks are that water demand cannot be met without taking community or irrigation water; that a constitutional challenge under Article XVIII, Section 25 succeeds; and that concentrating strategic assets near Clark creates a physical targeting exposure.

One risk has already materialised. On 24 July 2026 the USTR imposed a 12.5% forced-labour tariff on Philippine exports, a deterioration in the economic relationship despite alignment. The Philippines was one of 60 economies investigated and has formed a response panel; its exports to the United States had grown 23.8% to US$6.68bn over January–May. The mitigation is to link framework concessions explicitly to trade-treatment commitments, and not to concede while penalties stand.

Two risks are worth naming because they are absent from official discussion. Corruption and rent-seeking in a large land-and-incentive programme is rated medium-high, against a record that includes 421 ghost projects among 8,000 inspected in flood control, and an unsolicited-proposal route already in use for the fuel pipeline. And data governance and IP leakage is rated medium-high, because no published provision addresses data localisation, lawful access, cross-border transfer, sovereign compute access or IP ownership for work done on Philippine soil. Across the register, the mitigations that recur are the same handful: milestone-based land release in tranches; performance-linked clawbacks; conditions precedent on firm power and financed water storage; published tax-expenditure estimates; NCIP engagement before signature; and a shorter initial term with performance-linked renewal rather than 99 years granted upfront.

SOURCES DRAWN ON T2-04 · T3-17 · T3-07 · T1-16
plus arithmetic derived in the calculation reference

23

Overall assessment

A serious strategic opportunity attached to a badly documented transaction.

The two things are separable, and almost all of the confusion in Philippine public debate comes from treating them as one. The strategic opportunity is real: an allied-supply-chain position that is genuine and time-limited, a credible upgrade path from back-end assembly into advanced packaging, and an urgent need for a growth engine as BPO faces AI displacement.

The transaction is badly documented. The operative instrument describes a coordination office, not an industrial district. Consideration is undetermined. The term is unstated. The map is missing. The studies behind every headline figure are unpublished. The water balance does not exist. The energy plan contradicts the public framing. And no legal opinion has been published on whether the framework requires Senate concurrence.

None of that is an argument against the project. In fairness, some of the opposition is overstated too: the light-pollution claim exaggerates, the rare-earth-plunder claim is substantially overstated, and the dual-use critique in its strongest form proves too much, since dual-use characteristics are inherent to essentially all modern computing hardware. None of that is an argument against the project. All of it is an argument against signing on this record. Every one of the gaps is closeable within months, at negligible cost, by the executive acting alone.

SOURCES DRAWN ON T1-05 · T1-14 plus arithmetic derived in the calculation reference

Recommendations for the Philippine government

Thirty-nine recommendations, starting with eleven that cost almost nothing.

The immediate no-regret actions are within the executive's sole control and would improve the Philippines' position whether or not the project proceeds: publish Annex A; publish the draft framework with a comment period; correct the miscited charter; publish the underlying studies or withdraw the figures; impose single-source discipline on official statements; obtain and publish DFA-OLA and OSG opinions; formally engage the NCIP; commission independent water and grid studies; require NGCP to state its interconnection and reserve-margin position and the ERC to say who bears the cost of transmission reinforcement, the DOE having answered on 27 July; publish a tax-expenditure estimate; and convene the Tarlac provincial government and the municipalities of Capas and Bamban.

Before any contract or construction: set the Year-3 rate and term against an independent valuation; resolve the exclusive-use clause; write an express Philippine governing-law and jurisdiction clause; make land handover conditional on financed firm generation and financed water storage, which is now the Energy Secretary's stated position and not only this report's recommendation, and record in the framework a defined on-grid ceiling consistent with the DOE's 100–200 MW figure, with any load above it contingent on commissioned dedicated generation; require a project-specific ECC with a cumulative impact assessment; release land in tranches against verified capital and employment with automatic reversion of undeveloped tranches; write hard water conditions into the instrument; and add a data governance and IP annex including an allocation of sovereign compute for Philippine public and research use.

On medium-term industrial policy: attack the electricity cost gap directly, which is the single highest-return action available and is not contingent on Pax Silica; use minerals leverage instead of land concessions; target advanced packaging rather than fabs; fund supplier development and workforce programmes against the 128,000-worker goal; guarantee competitive neutrality through the PCC; and diversify anchors deliberately, because a zone with one anchor has the Intel-in-Cavite risk profile.

And on contingency: automatic reversion and clawback if milestones are missed; break clauses on defined non-performance; a shorter initial term of 25 years with performance-linked renewal; tenure-linked incentive recapture so a departing anchor repays what it consumed; and a published fallback plan for the 1,618.74 hectares if the project does not proceed.

SOURCES DRAWN ON T1-05 · T2-05 plus arithmetic derived in the calculation reference

25 Preconditions, safeguards and negotiating red lines

Seven preconditions before signature, eleven red lines that should not move, and a two-branch decision rule for November.

All seven preconditions must be met: the parcel legally defined and Annex A published; the draft framework published with a public comment period; independent water balance and grid adequacy studies published; the Year-3 rent and lease term determined against an independent valuation; DFA-OLA and OSG legal opinions published; the NCIP certification precondition process formally initiated; and the activity mix and all underlying economic studies published including the tax-expenditure estimate. If any one is unmet in November, the Philippines should not sign. None takes more than a few months. The only cost of insisting on them is a delayed photograph.

The red lines: no application of foreign law to Philippine territory, and no immunity beyond general law; no restriction on Philippine regulatory jurisdiction inside the Zone; no stabilisation clause freezing environmental or labour standards; no exclusive-use grant to a foreign government at this scale without Senate concurrence; no lease with consideration left undetermined at signature; no 99-year term granted upfront without performance-linked staging; no commitment on mineral supply without a binding domestic processing obligation; no waiver of liability for contamination or worker injury; no classified annex withheld from the Senate; no transfer, sublease or collateralisation of the master lease without government consent on each occasion.

And one that is not a legal term at all: do not sign to meet another country’s summit calendar. If the terms are not ready in November, they are not ready in November.

These resolve into a two-branch decision rule, because the real red line is not the November ceremony but the creation of substantive rights before due diligence is complete. Branch one covers any binding instrument: do not sign anything that grants land possession or exclusive use, fixes a long lease term, leaves rent undetermined, restricts Philippine jurisdiction or regulatory authority, grants immunity, commits public infrastructure or fiscal incentives, creates mineral-supply obligations, permits subleasing, transfer or collateralisation of a land right, or gives any investor or foreign government preferred rights, unless all seven preconditions are satisfied first and the red lines are respected in the text. Branch two covers a strictly non-binding framework, which is acceptable and may even be tactically useful for the November milestone, but only if the text itself expressly states that it creates no lease or land right, confers no investor entitlement or exclusivity, commits no public funding or incentives, leaves every project subject to ordinary Philippine law and permits, allows either government to withdraw, and subjects every subsequent binding instrument to separate approval and public disclosure. A framework silent on those points should be treated as branch one.

So the question to ask of whatever is tabled in November is not "is it binding?" as a label. Under EO 459's substance-over-nomenclature principle it is: what rights does this text create, and for whom? If the answer is "none, expressly," the signature is a photograph. If the answer is anything else, the seven preconditions apply in full.

SOURCES DRAWN ON T1-05 · A-03 plus arithmetic derived in the calculation reference

26

Questions that must be answered publicly

Thirty-three questions to BCDA, the executive, the regulators, the United States and the investors.

To BCDA, the questions begin with the map and end with the open-space covenant, and include the composition of the PHP 68–75bn withholding figure, the employment multiplier behind 500,000–800,000 indirect jobs, the assumed domestic value-added share of US$200bn in exports, the identity of the "US-based company serving as project proponent," and, now answered on the recording, what was meant by wanting contracts "immune from any environmental situation."

To the executive, DFA and DOF: whether the framework goes to the Senate and on what legal opinion; what governing law and dispute forum will apply; whether a national security assessment has been conducted; what trade-treatment commitments the Philippines is seeking given the 12.5% tariff; and which body of government has formally approved the Philippine position, and when.

To the regulators: whether NCIP has initiated a certification precondition process and what the status of the Aeta CADT applications is; whether any project-specific ECC exists; on what technical analysis the NWRB sufficiency statement was made; how DOE and NGCP will serve 3 GW and who bears the reserve-margin risk; and whether the PCC will review the incentive package for competitive neutrality.

To the United States: what legal arrangements it considers necessary to operationalise the Zone, the question the State Department declined to answer in May 2026; what "joint governance" means concretely; what financial commitment exists beyond feasibility studies; whether it will accept an express dual-use exclusion clause; and how it reconciles designating the Philippines as the site of its flagship Zone with imposing a forced-labour tariff on Philippine exports. And to Foxconn specifically: given Wisconsin, will it accept performance-linked clawbacks tied to verified investment and hiring?

SOURCES DRAWN ON A-01 · A-04 · A-05 · A-06 · A-07 · A-08

27

Indicators to monitor

What resolves within one year, three years and five years.

Within one year, the decisive period, watch whether a framework is signed in November and whether its text is published; whether Annex A, the water balance and the grid study appear; whether the Year-3 rent and term are fixed at signature, which is the clearest available signal of whether the Philippines negotiated or capitulated; whether the framework contains clawbacks, employment covenants and local-content obligations; whether the Senate asserts a concurrence role; whether any investor is named with a binding commitment and financial close; and whether Foxconn proceeds beyond due diligence, which is the single most informative signal available.

Within three years: actual capital deployed against the US$10bn initial target; whether site development began in Q1 2028; contracted and commissioned firm generation and water storage, ahead of load or behind it; verified employment against milestones and the foreign-worker share against the stated under-10%; realised tax revenue and published tax expenditure; and resolution or continued non-resolution of the Aeta CADT applications.

Within five years: the domestic value-added share of Zone exports, which is the single most important development metric; the number, revenue and employment of Philippine-owned supplier firms serving the Zone; whether any activity has moved beyond ATP into advanced packaging, design or materials; whether the industrial electricity price gap with Indonesia and Vietnam closed; water availability for Tarlac agriculture and drought performance; the compliance record; and whether the project's emissions are consistent with the Philippines' NDC.

SOURCES DRAWN ON T3-06 · T3-03 · T1-17 plus arithmetic derived in the calculation reference

28 Research limitations and evidence that could change the conclusions

What would move each judgment, and in which direction.

Publication of Annex A would resolve the affected-household dispute, the catchment question and the overlap with Aeta CADT applications simultaneously. It is the single highest-value disclosure available.

Publication of the underlying economic studies would either substantiate the headline figures or confirm that they are unsupported. A published activity mix would make every impact estimate falsifiable for the first time.

A signed, disclosed anchor lease with financial close would move the assessment materially toward Scenario A or B and away from C. Conversely, no anchor with financial close by Q2 2027 would move it toward C.

A published water balance showing a financed, permitted storage solution with a hard abstraction cap would substantially reduce the highest-impact risk in the register. A published energy plan reconciling the LNG feasibility study with the renewables framing would resolve the most clearly misleading item in the claim matrix.

SOURCES DRAWN ON A-01 · A-04 · A-05 · A-06

29

Appendices

Documents register, calculation reference, discrepancy register, verbatim provisions, sources by tier, glossary, and prioritised information gaps.

Appendix A registers the key documents, distinguishing the publicly available, the Declaration, the US media note and fact sheet, the BCDA letter and Note Verbale, from those that are referenced but absent, chiefly Annex A, the Supplemental Agreement and the framework draft.

Appendix B sets out every calculation with its inputs and assumptions, at PHP 61.85 per US$1: the catchment formula, the storage requirement, the solar land requirement at the ACWA benchmark, the lease income present value, the withholding-tax reconciliation, and the export ratios.

Appendix C is a figure discrepancy register, a single table of every materially inconsistent number encountered, for use by anyone auditing official statements. Appendix D reproduces the operative provisions of the BCDA letter verbatim, since the wording has been widely paraphrased. Appendix E lists sources by evidence tier. Appendix F is a glossary. Appendix G prioritises the open information gaps by decisiveness.

SOURCES DRAWN ON T1-05 · T1-17 · T1-19 · T1-20

plus arithmetic derived in the calculation reference

06

sources register

Every source this assessment relies on, numbered and tiered, so any finding can be traced back to what it rests on. Each report section lists the register IDs it draws on; each claim in the checker links here.

59 REGISTERED SOURCES · 13 REFERENCED BUT ABSENT

tier 1 · primary and authoritative

21 ENTRIES

Official texts, published documents, statutes, statistical releases and FOI responses. Treated as evidence of what was said or recorded, not of whether it is true.

T1-01

DEC 2025 TO PRESENT

Pax Silica Declaration, full text and signatory list

US Department of State

The founding instrument and its 25 signatories.

www.state.gov →

T1-02

16 APR 2026

Media Note: US and Philippines launch plans for a 4,000-acre Economic Security Zone

US Department of State

Origin of the 4,000-acre figure and the "first AI-native industrial acceleration hub" designation.

www.state.gov →

T1-03

16 APR 2026

Fact Sheet: Economic Security Zone

US Department of State and Embassy Manila

Contains the "joint governance" and "fuse American expertise in institutions and legal regimes" language.

ph.usembassy.gov →

T1-04

16 APR 2026

Media Note as republished by Embassy Manila

US Embassy Manila

ph.usembassy.gov →

T1-05 9 APR 2026 LETTER, 16 APR 2026 NOTE VERBALE

Note Verbale JMGR-NV-145-2026 with the BCDA proposal letter

PH Embassy Washington and Board of Investments

Four pages, signature redacted. Annex A is absent from the published version. The operative text behind most scope, term and rent questions.

boi.gov.ph →

T1-06 26 JUN 2026

Outcomes of the Second Pax Silica Summit

US Department of State

Does not mention the Philippine Zone.

www.state.gov →

T1-07 20 APR 2026

BCDA announcement: New Clark City to serve as AI hub

BCDA

www.bcda.gov.ph →

T1-08 2026

Fact Sheet: Luzon Economic Corridor

US Embassy Manila

ph.usembassy.gov →

T1-09 11 MAY 2026

Luzon Economic Corridor partnership expansion

US Embassy Manila and Embassy of Japan

ph.usembassy.gov →

T1-10 4 FEB 2026

PH and US critical minerals MOU announcement

PH Embassy Washington

philippineembassy-dc.org →

T1-11

FEB 2026

2026 Critical Minerals Ministerial

US Department of State

www.state.gov →

T1-12

1992

RA 7227, Bases Conversion and Development Act of 1992

Congress and BCDA

The actual BCDA charter.

www.bcda.gov.ph →

T1-13

24 MAR 1992

RA 7277, Magna Carta for Disabled Persons

Official Gazette

The statute miscited in the BCDA letter as the BCDA charter.

www.officialgazette.gov.ph →

T1-14

REQUESTED 6 MAY 2026, DENIED 12 MAY 2026

BCDA FOI denial: Pax Silica project pipeline

eFOI portal, tracking BCDA-709787348964

Source of "the project is still on the planning stage and it is premature for BCDA to release any official information".

www.foi.gov.ph →

T1-15

REQUESTED 8 JUN 2026, ANSWERED 10 JUN 2026

BCDA FOI denial: Pax Silica hub site map

eFOI portal, tracking BCDA-462421872795

Map withheld; the 1,619-hectare site is confirmed.

www.foi.gov.ph →

T1-16

PROCLAIMED 20 FEB 2026, EXPIRED 24 JUL 2026

Section 122 temporary import surcharge of 10%

Federal Register document 2026-03824

The predecessor of the July tariff action, and the reason the net change is 10 points down rather than 12.5 up.

www.federalregister.gov →

T1-17

26 MAR 2026

International Merchandise Trade Statistics 2025, final

Philippine Statistics Authority

Exports US$84.48bn, electronics US$45.89bn.

psa.gov.ph →

T1-18

Jacob Helberg biography

US Department of State

www.state.gov →

T1-19

FEB 2026

2025 Philippine Trade in Goods

Congressional Policy and Budget Research Department

cpbrd.congress.gov.ph →

T1-20

2022 EDITION

The Mineral Industry of the Philippines

USGS Minerals Yearbook

Used to test the resource-plunder critique against production data.

pubs.usgs.gov →

T1-21

20 APR 2021

Renegotiated Foxconn contract announcement

Office of the Governor of Wisconsin

Primary record of the announced-versus-delivered gap with the same counterparty.

content.govdelivery.com →

tier 2 · high-quality analytical

6 ENTRIES

Named specialists and research institutions with disclosed method. Used for benchmarks and interpretation.

T2-01

12 JUN 2026

The Philippines has a golden chance to get Pax Silica right

Lowy Institute, Alvin Camba

www.lowyinstitute.org →

T2-02

2026

In this economy: risks of Pax Silica

JC Punongbayan, UP School of Economics, in Rappler

www.rappler.com →

T2-03

2025 TO 2026

Philippine electronics export performance

SEIPI

Industry baseline for export and value-added comparisons.

seipi.org.ph →

T2-04

2026

Philippine power supply for Q2 2026 remains sufficient but thin reserves leave the grid at risk

Institute for Climate and Sustainable Cities

Grid adequacy baseline.

icsc.ngo →

T2-05

25 JUL 2026

Glass house: evaluating criticisms over PH participation in Pax Silica

Pierre Tito Galla, Newsbytes.ph

Source of the "human first, machine last" safeguard proposal.

newsbytes.ph →

T2-06 13 DEC 2019

The New Clark City: a government sell-out of IP and peasant land for private interests

IBON International

Prior record of New Clark City land conflict.

iboninternational.org →

tier 3 · credible journalism 24 ENTRIES

Established Philippine and international outlets. Used for statements attributed to officials and for dated events.

T3-01 26 MAY 2026

US official says immunity for the Clark hub was taken out of context

Philstar

www.philstar.com →

T3-02 19 MAY 2026

Philippines rejects US request for diplomatic immunity at the planned AI hub

Philstar

www.philstar.com →

T3-03 24 JUL 2026

Pax Silica investors may lease New Clark land for 99 years

Philstar

Primary reporting on lease term, rent and the PHP 60bn projection.

www.philstar.com →

T3-04 24 JUL 2026

BCDA: over 30 firms interested in Pax Silica

Philstar

www.philstar.com →

T3-05 11 JUL 2026

Pax Silica gains pace as the US and Philippines push the AI hub

Philstar

Foxconn and Ambassador Lipton statements.

www.philstar.com →

T3-06 16 JUL 2026

PHL and US finalise draft framework for the Pax Silica AI hub

BusinessWorld

Draft framework, DFC LNG feasibility study and Stanford MOU.

bworldonline.com →

T3-07 24 JUL 2026

Trump imposes 12.5% forced-labour tariff on Philippine exports

BusinessWorld

bworldonline.com →

T3-08 JUL 2026

Myths vs facts: BCDA allays fears on the Pax Silica project

Inquirer

newsinfo.inquirer.net →

T3-09 JUL 2026

Pax Silica hub to bring PHP 180 billion in government income and 190,000 jobs, BCDA

Inquirer

Source of the headline revenue and employment figures.

newsinfo.inquirer.net →

T3-10 JUL 2026

SBMA sees revenue and jobs boost with Pax Silica

Inquirer

newsinfo.inquirer.net →

T3-11 JUL 2026

Pangasinan environmental groups join opposition to Pax Silica

Inquirer

newsinfo.inquirer.net →

T3-12 JUL 2026

Pax Silica AI hub to consume 3 gigawatts at full development, BCDA

GMA

Source of the 3,000 MW load figure.

www.gmanetwork.com →

T3-13 JUL 2026

Explainer: Pax Silica, why are people worried

GMA

www.gmanetwork.com →

T3-14 JUL 2026

Things to know about Pax Silica: Philippine goals and concerns

Rappler

www.rappler.com →

T3-15 JUL 2026

STOP US War coalition on resource plunder criticism

Rappler

www.rappler.com →

T3-16 20 JUL 2026

DENR assesses Pax Silica environmental impact

BusinessMirror

businessmirror.com.ph →

T3-17

22 JUL 2026

Local water source enough to supply Pax Silica operation, water board

BusinessMirror

The NWRB position tested in the water section.

businessmirror.com.ph →

T3-18

19 JUL 2026

Scientists, environmentalists and farmers hit the Pax Silica AI hub

Manila Times

Record of the 13 July protest at the US Embassy.

www.manilatimes.net →

T3-19

22 JUL 2026

Labour chief backs Pax Silica, eyes nearly one million jobs

Manila Times

www.manilatimes.net →

T3-20

7 JUL 2026

Foxconn to anchor the first US-led Pax Silica tech hub in Clark

Manila Bulletin

mb.com.ph →

T3-21

24 JUL 2026

Peso hits an all-time low of 61.84 per US dollar

Manila Bulletin

The exchange rate used throughout this report.

mb.com.ph →

T3-22

25 JUL 2026

Inside Pax Silica: the project that could reshape the Philippines

Daily Tribune

tribune.net.ph →

T3-23

26 JUL 2026

Pax Silica could generate up to 300,000 jobs, PH envoy to the US

Daily Tribune

tribune.net.ph →

T3-24

JUL 2026

iPhone maker Foxconn to anchor tech city in the Philippines

Gulf News

gulfnews.com →

tier 4 · stakeholder claims

8 ENTRIES

Government, embassy, corporate and advocacy positions. Used only as evidence of position.

T4-01

APR TO JUL 2026

BCDA, DOF, DOLE, Malacanang and embassy statements

Philippine government and US Embassy

Used only as evidence of position, never as evidence of fact.

T4-02

2026

Under Secretary Jacob Helberg posts on X

US Department of State official, personal account

Used only as evidence of the US framing.

T4-03

2026

Akbayan to Congress: probe Pax Silica, protect national interest

Akbayan Party

www.akbayan.org.ph →

T4-04 19 JUN 2026

Makabayan bloc position and House Resolution 1128

House of Representatives members

Full resolution text not publicly posted at the cutoff.

T4-05 JUL 2026

KMP, Kalikasan PNE, AGHAM and Computer Professionals Union statements

STOP US War coalition members

Source of the resource-plunder and watershed critiques.

T4-06 JUL 2026

Propel and International League of Peoples Struggles statements

Advocacy organisations

T4-07 JUL 2026

Philippine Chamber of Commerce and Industry statements

PCCI

T4-08 2026

paxsilicaph.org

Wolf Equity, a private publisher

Expressly disclaims official status. Cited as an illustration of an information vacuum being filled by unofficial actors, not as a source of fact.

paxsilicaph.org →

referenced but not published

13 DOCUMENTS REFERENCED BUT NOT PUBLISHED

These are cited by the parties or required by the analysis, but are not in the public record as at the latest verification. They are listed so a reader can see exactly where the evidence stops.

A-01 BCDA, DFA, US STATE DEPT

Annex A, maps of the proposed 4,000-acre site

Defines the parcel. Every environmental, social, valuation and displacement question depends on it.

A-02 BCDA

Supplemental Agreement on boundaries, legal description and operating terms

Would fix location, term and rent. Not yet executed.

A-03 BCDA, DTI, US STATE DEPT

Framework agreement, the draft arrangement in exchange since 16 Jul 2026 or earlier

The operative instrument, target signature November 2026.

A-04 BCDA

The scientific studies behind the US$40 to 70bn, jobs, tax and export figures

The entire economic case rests on these.

A-05 BCDA

Water balance and impounding dam design

The binding physical constraint.

A-06 BCDA, DOE, NGCP

Grid interconnection and adequacy study

The second binding constraint.

A-07 DOF, BOI, PEZA

Tax-expenditure estimate for the incentive package

The missing half of the fiscal ledger.

A-08 US DFC

DFC feasibility study, LNG terminal and at least 1,200 MW plant

The actual energy plan.

A-09 HOUSE OF REPRESENTATIVES

House Resolution 1128, full text

The scope of congressional inquiry.

A-10 DOW JONES

Wall Street Journal report on US jurisdiction

The origin of the immunity dispute.

A-11 NCIP

NCIP records on Aeta CADT applications over Capas, 1999, 2014 and May 2019

Determines FPIC obligations.

A-12 DENR-EMB

New Clark City master-plan ECC, 2017

Establishes what is and is not already covered. BCDA confirmed on 23 July 2026 that this general certificate, obtained with the 2017 master plan, is the only ECC covering the site, with individual locator ECCs to follow, and that the DENR assessment need not conclude before the November signing. It predates the Pax Silica concept and cannot have assessed a 3 GW load or 65-90 MLD of abstraction.

A-13 OFFICE OF THE PRESIDENT, NEDA

Cabinet and NEDA Board records on the Philippine position

Whether the Republic formally deliberated.

What we deliberately did not count as evidence: search-result pages, AI-written summaries, sites that republish without naming a source, and press releases reprinted elsewhere and then counted as independent confirmation. Wikipedia was used only to cross-check dates, and several of its details conflicted with State Department originals.

07

appendices

Every calculation, every inconsistent figure, and the operative wording of the BCDA letter, so a reader can check the arithmetic rather than take it on trust. Appendices A and E, the documents register and sources by tier, are in the sources register.

All calculations use published figures; assumptions are stated. Exchange rate throughout: PHP 61.85 = US$1, 24 July 2026.

B.1 AREA

QUANTITY	FORMULA	RESULT
Site area	4,000 ac × 0.404686 ha/ac	1,618.74 ha
Site as share of New Clark City	1,618.74 ÷ 9,450	17.1%
Developable area (net of 40% open space)	1,618.74 × 0.60	971.24 ha
Site in square metres	1,618.74 × 10,000	16,187,400 m²

B.2 INVESTMENT AND EMPLOYMENT

QUANTITY	FORMULA	RESULT
Investment per ha	US$40–70bn ÷ 1,618.74	US$24.7m – US$43.2m/ha
Investment per ha (PHP)	× 61.85	PHP 1.53bn – 2.67bn/ha
Capital per direct job (low)	US$40bn ÷ 190,000	US$210,526
Capital per direct job (high)	US$70bn ÷ 130,000	US$538,462
Direct jobs per ha	130,000–190,000 ÷ 1,618.74	80.3 – 117.4
Direct jobs per developable ha	÷ 971.24	133.9 – 195.6
Implied employment multiplier	500,000–800,000 ÷ 130,000–190,000	3.8× – 4.2×
Foxconn-scale locators needed for 160,000 jobs (at 3,000–5,000 jobs each)	160,000 ÷ 3,000–5,000	32 – 53 anchor-scale locators

B.3 WATER

QUANTITY	FORMULA	RESULT
Annual volume at 90 MLD	90,000 m^3/d × 365	32.85 million m^3/yr
Annual volume at 65 MLD	65,000 m^3/d × 365	23.73 million m^3/yr
Population-equivalent (domestic use)	90,000 m^3/d ÷ (100–150 L/cap/d)	600,000 – 900,000 people
Catchment required	A = V ÷ (R × C)	1,460 – 3,129 ha (see §12.1.3)
Catchment as % of site	÷ 1,618.74	90% – 193%
Dry-season storage (180 days)	65–90 MLD × 180	11.7 – 16.2 million m^3
Indirect + direct water at 1.2 gal/kWh for 3 GW continuous	26.28bn kWh × 1.2 gal ÷ 264.17 gal/m^3 ÷ 365	≈327 MLD (≈3.6× the disclosed figure)
Single advanced fab raw-water demand	2–10m gal/d UPW × ~1.5 raw:UPW ÷ 264.17	≈11 – 57 MLD

B.4 ENERGY

QUANTITY	FORMULA	RESULT
Project demand as % of Luzon peak	3,000 ÷ 15,600 (DOE 2026 projection) · 3,000 ÷ 14,534 (actual max by mid-2026)	19.2% / 20.6%
Annual energy at 100% load factor	3,000 MW × 8,760 h	26,280 GWh (26.28 TWh)
Solar nameplate needed for that energy at 20% CF	26,280,000 MWh ÷ 1,752 MWh/MW	≈15,000 MW
Land required at ACWA benchmark (500 ha per 500 MW = 1 ha/MW)	15,000 MW × 1 ha/MW	≈15,000 ha
As multiple of the Pax Silica site	15,000 ÷ 1,618.74	9.3×
As multiple of all New Clark City	15,000 ÷ 9,450	1.59×
Existing ACWA solar as share of demand (energy basis)	500 MW × 0.19 CF ÷ 3,000 MW	≈3.2%
DFC LNG plant as share of demand	1,200 ÷ 3,000	40%
Indicative generation capex for 3,000 MW firm	3,000 MW × US$1.0–1.5m/MW	US$3.0 – 4.5bn
Indicative annual power bill at 15 US¢/kWh, 100% LF	26.28bn kWh × US$0.15	≈US$3.9bn/yr

B.5 FISCAL

QUANTITY	FORMULA	RESULT
Annual lease income	PHP 60bn ÷ 25	PHP 2.4bn/yr = US$38.8m/yr
Lease per ha per year	PHP 2.4bn ÷ 1,618.74	PHP 1,482,635
Lease per m² per year	÷ 10,000	PHP 148.26
Lease per m² per month	÷ 12	PHP 12.36
NPV of lease, 8% real, 25 yr (annuity factor 10.675)	PHP 2.4bn × 10.675	PHP 25.62bn ≈ US$414m
NPV as share of investment	US$414m ÷ US$40–70bn	0.59% – 1.03%
Value of 2-year rent grace at implied rate	PHP 2.4bn × 2	≈PHP 4.8bn (US$77.6m)
Implied aggregate payroll from PHP 68bn tax at 20% effective rate	PHP 68bn ÷ 0.20	PHP 340bn
Implied average annual compensation (160,000 jobs)	PHP 340bn ÷ 160,000	PHP 2,125,000 (US$34,357)
Same at 10% effective rate	PHP 68bn ÷ 0.10 ÷ 160,000	PHP 4,250,000
Ratio to PH semiconductor engineer average (PHP 870,938)	2,125,000 ÷ 870,938	2.44×
Ratio to PH semiconductor operator average (PHP 263,118)	2,125,000 ÷ 263,118	8.08×
Ratio to PSA average wage (PHP 21,544/mo = PHP 258,528/yr)	2,125,000 ÷ 258,528	8.22×

B.6 EXPORTS

QUANTITY	FORMULA	RESULT
Claim vs total 2025 PH merchandise exports	US$200bn ÷ US$84.48bn (PSA final)	2.37×
Claim vs 2025 electronics exports	US$200bn ÷ US$45.89bn (PSA final)	4.36×
Claim vs 2025 semiconductor exports	US$200bn ÷ US$34.62bn	5.78×

B.7 COMPARATOR: FOXCONN WISCONSIN - ANNOUNCED, RENEGOTIATED, VERIFIED

METRIC	ANNOUNCED (2017)	RENEGOTIATED TARGET (2021, BY END-2025)	WEDC-VER
Investment	US$10.0bn	US$672m	~US$717
Jobs	13,000	1,454	1,242
State incentives	up to US$2.85bn	up to US$80m	US$62.9
Taxpayer saving from renegotiation	-	US$2.77bn	-

08

questions that must be answered

Thirty-three questions, addressed to the parties who hold the answers. None requires a study that does not already exist.

TO BCDA

1. Where exactly is the parcel? Publish Annex A.
2. Does the exclusive-use clause at §II.3 permit private industrial locators

TO THE EXECUTIVE, DFA AND DOF

1. Will the framework be submitted to the Senate? If not, on the basis of what legal opinion?

such as Foxconn? If not, what instrument changes it, and under what authority?

3. Why does §III cite Republic Act No. 7277, the Magna Carta for Disabled Persons, as the Bases Conversion and Development Act, and why has it not been corrected?
4. What is the intended activity mix, in hectares and in capital?
5. Publish the studies behind every headline figure. Who conducted them, when, and on what assumptions?
6. What is the composition of the PHP 68–75bn withholding tax figure, and what average annual wage does it assume?
7. What employment multiplier produces 500,000–800,000 indirect jobs, and from what source?
8. What is the assumed domestic value-added share of the US$200bn in exports?
9. What is the proposed lease term and Year-3 rate, and on what independent valuation?
10. Is the United States the master lessee? May it sublease, transfer or collateralise, and to whom?
11. Who is the "US-based company serving as project proponent," and how was it selected?
12. Publish the water balance, the impounding dam design and

2. What governing law and dispute forum will apply?
3. Has a national security assessment of concentrating strategic assets at this site been conducted, and will it be published?
4. Given the USTR's 12.5% tariff, what trade-treatment commitments is the Philippines seeking in return for the Zone?
5. Which body, Cabinet, NEDA Board, or otherwise, has formally approved the Philippine position, and when?

footprint, and the abstraction volumes sought.

13. Publish the energy plan, including the DFC-scoped 1,200 MW LNG plant, and reconcile it with the statement that the project aims to avoid fossil fuels.
14. What was meant by wanting contracts "immune from any environmental situation"?
15. What is the estimated cost of fiscal incentives and of public enabling infrastructure?
16. Is the 40% open-space commitment binding on this parcel, and how is it reconciled with maximal rainwater capture?

TO NCIP, DENR, NWRB, DOE, NGCP AND PCC

1. NCIP: has a certification precondition process been initiated? What is the status of the Aeta CADT applications over Capas filed in 1999, 2014 and 2019?
2. DENR: does any project-specific ECC exist for this parcel? Will a cumulative impact assessment be required?
3. NWRB: on what technical analysis was the sufficiency statement of 22 July 2026 made? Publish it.
4. DOE and NGCP: how will up to 3 GW be served, by when, at what cost, and who bears the reserve-margin and price risk?

TO THE UNITED STATES

1. What legal arrangements does the United States consider necessary to operationalise the Zone, the question the State Department declined to answer in May 2026?
2. What does "joint governance" mean concretely, and what does "fuse American expertise in institutions and legal regimes" require of Philippine law?
3. What, if any, US financial commitment exists beyond feasibility studies?
4. Will the Zone have any defence, dual-use or export-control function, and will the United States accept an express exclusion clause?

5. PCC: will the incentive package be reviewed for competitive neutrality against existing PEZA locators?

5. How does the United States reconcile designating the Philippines as the site of its flagship Economic Security Zone with imposing a 12.5% forced-labour tariff on Philippine exports?

TO PROSPECTIVE INVESTORS, INCLUDING FOXCONN

1. Will you disclose your identity, capital commitment, employment commitment with a wage floor, technology-transfer commitment and local-content commitment as a condition of entry?
2. Foxconn specifically: given the Wisconsin experience, will you accept performance-linked clawbacks tied to verified investment and hiring?

09 what to watch, and when

Exhibit 14. Indicators that distinguish the scenarios from one another, grouped by the horizon on which they resolve.

TO JULY 2027

the decisive period

Monthly net sentiment on a constant method, the earliest available proxy for whether disclosure, if it comes, changes anything

TO 2029

delivery against milestones

Actual capital deployed versus the US$10bn initial target

Whether site development began in Q1 2028 as targeted

- The #NoToPaxSilica-to-#PaxSilica ratio, currently 50 against 105
- The channel mix, and whether official communication reaches Facebook, Reddit and X rather than the news wire
- The water and land topic share, currently one-sidedly negative and growing
- Whether a framework is signed in November 2026, and whether its text is published
- Whether Annex A, the water balance and the grid study are published
- Whether the Year-3 rent and lease term are fixed at signature, which is the clearest available signal of whether the Philippines negotiated or capitulated
- Whether the framework contains clawbacks, employment covenants and local-content obligations
- Whether the Senate asserts a concurrence role; whether a Supreme Court petition is filed
- Whether any investor is named with a binding commitment and financial close
- Whether Foxconn proceeds beyond due diligence, the single most informative signal available
- Whether the DFC LNG project reaches a final investment decision
- Whether the DOE approves grid connection, and at what tranche size, measured against the 100–200 MW ceiling the Energy Secretary stated on 27 July 2026

- Firm generation and water storage commissioned, ahead of load, or behind it
- Verified employment against milestones; the foreign-worker share against the stated under-10%
- Realised tax revenue and published tax expenditure
- Resolution or continued non-resolution of the Aeta CADT applications
- Whether local suppliers have entered the value chain, and how many
- Luzon reserve margin and the frequency of yellow and red alerts

- Whether dedicated generation, the LNG import terminal and the Subic–Clark pipeline advance beyond feasibility studies
- Whether officials stop issuing new job figures

TO 2031

whether it changed anything

- Domestic value-added share of Zone exports, the single most important development metric
- Number, revenue and employment of Philippine-owned supplier firms serving the Zone
- Whether any activity moved beyond ATP into advanced packaging, design or materials
- Industrial electricity price versus Indonesia and Vietnam, and whether the gap closed
- Water availability for Tarlac agriculture; groundwater levels; drought performance
- Compliance record: ECC violations, hazardous waste incidents, labour disputes
- Whether the Zone remained multilateral or became bilateral in substance
- Whether emissions are consistent with the Philippines’ NDC

about this assessment

Independent and Philippines-centred. Decision-grade means it supports one decision: whether to sign in November. It is not engineering-grade or transaction due-diligence grade. Site v1.16, reflecting assessment v2.9. Maintained as a living document: project facts verified to 4 August 2026, last updated 4 August 2026, with weekly review and immediate review on trigger events. Comparator, legal and technical sources verified through 2 August 2026. The fifth State of the Nation Address of 27 July is incorporated from the Official Gazette transcript. Nothing is silently revised: every substantive change is versioned and logged, and a correction to something previously published is stated as a correction rather than edited away. The version current when the November framework is signed will be frozen as the permanent pre-signature record. Structured scoping review, not PRISMA-compliant and not described as such. A single integrated research synthesis. No human expert peer review has been obtained. No fieldwork.

evidence tiers

Tier 1: US State Department media notes and fact sheets; the BCDA proposal letter and Note Verbale JMGR-NV-145-2026; PSA and CPBRD statistical series. Tier 2: Philippine national media. Tier 3: industry associations and analysis. Tier 4: stakeholder statements. Primary text beats characterisation throughout.

known limitations

Only two Philippine primary documents are public. Annex A is referenced and absent. Site rainfall, catchment, aquifer and seismic data are unpublished, so the water and power models use parametric ranges that must be re-run against site data when it exists.

currency

PHP 61.85 = US$1 throughout, the peso's record-low close of 24 July 2026. Where a source gives pesos, the figure is reported as given and converted.

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